



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session
Majority Research Staff

[SB 1478](#): liquor; policies; procedures

WENINGER FLOOR AMENDMENT

1. Delays the effective date for all sections of the bill until January 1, 2027, except for the section relating to interim permits.

WENINGER FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1478
(Reference to Senate engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 4-101, Arizona Revised Statutes, is amended to
3 read:

4 4-101. Definitions

5 In this title, unless the context otherwise requires:

6 1. "Act of violence":

7 (a) Means an incident that consists of a riot, a fight, an
8 altercation or tumultuous conduct and that meets at least one of the
9 following criteria:

10 (i) Bodily injuries are sustained by any person and the injuries
11 would be obvious to a reasonable person.

12 (ii) Is of sufficient intensity as to require the intervention of a
13 peace officer to restore normal order.

14 (iii) A weapon is brandished, displayed or used.

15 (iv) A licensee or an employee or contractor of the licensee fails
16 to follow a clear and direct lawful order from a law enforcement officer
17 or a fire marshal.

18 (b) Does not include the use of nonlethal devices by a peace
19 officer.

20 2. "Aggrieved party" means a person who resides at, owns or leases
21 property within a one-mile radius of premises proposed to be licensed and
22 who filed a written request with the department to speak in favor of or
23 opposition to the issuance of the license not later than sixty days after
24 filing the application or fifteen days after action by the local governing
25 body, whichever is sooner.

26 3. "Beer":

27 (a) Means any beverage obtained by the alcoholic fermentation,
28 infusion or decoction of barley malt, hops, rice, bran or other grain,

1 glucose, sugar or molasses, or any combination of them, and may include,
2 as adjuncts in fermentation, honey, fruit, fruit juice, fruit concentrate,
3 herbs, spices and other food materials.

4 (b) Includes beer aged in an empty wooden barrel previously used to
5 contain wine or distilled spirits and as such is not considered a dilution
6 or mixture of any other spirituous liquor.

7 4. "Biometric identity verification device" means a device
8 authorized by the department that instantly verifies the identity and age
9 of a person by an electronic scan of a biometric of the person, through a
10 fingerprint, iris image, facial image or other biometric characteristic,
11 or any combination of these characteristics, that references the person's
12 identity and age against any record described in section 4-241, subsection
13 K, and that meets all of the following conditions:

14 (a) The authenticity of the record was previously verified by an
15 electronic authentication process.

16 (b) The identity of and information about the record holder was
17 previously verified through either:

18 (i) A secondary, electronic authentication process or set of
19 processes using commercially available data, such as a public records
20 query or a knowledge-based authentication quiz.

21 (ii) Using a state or federal government system of records for
22 digital authentication.

23 (c) The authenticated record was securely linked to biometrics
24 contemporaneously collected from the verified record holder and is stored
25 in a centralized, highly secured, encrypted biometric database.

26 5. "Board" means the state liquor board.

27 6. "Bona fide guest" means:

28 (a) An individual who is personally familiar to the member, who is
29 personally sponsored by the member and whose presence as a guest is in
30 response to a specific and personal invitation.

31 (b) In the case of a club that meets the criteria prescribed in
32 paragraph ~~8~~ 9, subdivision (a) of this section, a current member of the
33 armed services of the United States who presents proper military
34 identification and any member of a recognized veterans' organization of
35 the United States and of any country allied with the United States during
36 current or past wars or through treaty arrangements.

37 7. "Broken package" means any container of spirituous liquor on
38 which the United States tax seal has been broken or removed or from which
39 the cap, cork or seal placed on the container by the ~~manufacturer~~ PRODUCER
40 has been removed.

41 8. "CIDER":

42 (a) MEANS ANY BEVERAGE THAT IS MADE FROM THE NORMAL ALCOHOLIC
43 FERMENTATION OF THE JUICE OF SOUND AND RIPE APPLES, PEARS OR OTHER POME
44 FRUIT AND THAT CONTAINS MORE THAN ONE-HALF OF ONE PERCENT OF ALCOHOL BY
45 VOLUME AND NOT MORE THAN EIGHT AND ONE-HALF PERCENT OF ALCOHOL BY VOLUME.

46 (b) INCLUDES FLAVORED, SPARKLING AND CARBONATED CIDER AND CIDER
47 MADE FROM CONDENSED APPLE, PEAR OR OTHER POME FRUIT MUST.

1 ~~8.~~ 9. "Club" includes any of the following organizations where the
2 sale of spirituous liquor for consumption on the premises is made only to
3 members, spouses of members, families of members, bona fide guests of
4 members and guests at other events authorized in this title:

5 (a) A post, chapter, camp or other local unit composed solely of
6 veterans and its duly recognized auxiliary that has been chartered by the
7 Congress of the United States for patriotic, fraternal or benevolent
8 purposes and that has, as the owner, lessee or occupant, operated an
9 establishment for that purpose in this state.

10 (b) A chapter, aerie, parlor, lodge or other local unit of an
11 American national fraternal organization that has, as the owner, lessee or
12 occupant, operated an establishment for fraternal purposes in this state.
13 An American national fraternal organization as used in this subdivision
14 shall actively operate in at least thirty-six states or have been in
15 active continuous existence for at least twenty years.

16 (c) A hall or building association of a local unit mentioned in
17 subdivisions (a) and (b) of this paragraph of which all of the capital
18 stock is owned by the local unit or the members and that operates the
19 clubroom facilities of the local unit.

20 (d) A golf club that has more than fifty bona fide members and that
21 owns, maintains or operates a bona fide golf links together with a
22 clubhouse.

23 (e) A social club that has more than one hundred bona fide members
24 who are actual residents of the county in which it is located, that owns,
25 maintains or operates club quarters, that is authorized and incorporated
26 to operate as a nonprofit club under the laws of this state, and that has
27 been continuously incorporated and operating for a period of at least one
28 year. The club shall have had, during this one-year period, a bona fide
29 membership with regular meetings conducted at least once each month, and
30 the membership shall be and shall have been actively engaged in carrying
31 out the objects of the club. The club's membership shall consist of bona
32 fide dues-paying members paying dues of at least \$6 per year, payable
33 monthly, quarterly or annually, which have been recorded by the secretary
34 of the club, and the members at the time of application for a club license
35 shall be in good standing having for at least one full year paid dues. At
36 least fifty-one percent of the members shall have signified their
37 intention to secure a social club license by personally signing a
38 petition, on a form prescribed by the board, which shall also include the
39 correct mailing address of each signer. The petition shall not have been
40 signed by a member at a date earlier than one hundred eighty days before
41 the filing of the application. The club shall qualify for exemption from
42 the payment of state income taxes under title 43. It is the intent of
43 this subdivision that a license shall not be granted to a club that is, or
44 has been, primarily formed or activated to obtain a license to sell
45 liquor, but solely to a bona fide club, where the sale of liquor is
46 incidental to the main purposes of the club.

1 (f) An airline club operated by or for airlines that are
2 certificated by the United States government and that maintain or operate
3 club quarters located at airports with international status.

4 ~~9.~~ 10. "Company" or "association", when used in reference to a
5 corporation, includes successors or assigns.

6 ~~10.~~ 11. "Control" means the power to direct or cause the direction
7 of the management and policies of an applicant or licensee, whether
8 through the ownership of voting securities or a partnership interest, by
9 agreement or otherwise. Control is presumed to exist if a person has the
10 direct or indirect ownership of or power to vote ten percent or more of
11 the outstanding voting securities of the applicant or licensee or to
12 control in any manner the election of one or more of the directors of the
13 applicant or licensee. In the case of a partnership, control is presumed
14 to mean the general partner or a limited partner who holds ten percent or
15 more of the voting rights of the partnership. For the purposes of
16 determining the percentage of voting securities owned, controlled or held
17 by a person, there shall be aggregated with the voting securities
18 attributed to the person the voting securities of an officer, partner,
19 employee or agent of the person or a spouse, parent or child of the
20 person. Control is also presumed to exist if a creditor of the applicant
21 or licensee holds a beneficial interest in ten percent or more of the
22 liabilities of the licensee. The presumptions in this paragraph regarding
23 control are rebuttable.

24 ~~11.~~ 12. "Controlling person" means a person directly or indirectly
25 possessing control of an applicant or licensee.

26 ~~12.~~ 13. "Craft distiller" means a distiller in the United States
27 or in a territory or possession of the United States that holds a license
28 pursuant to section 4-205.10.

29 ~~13.~~ 14. "Craft producer" means a licensed farm winery, a licensed
30 microbrewery or a licensed craft distiller.

31 ~~14.~~ 15. "Department" means the department of liquor licenses and
32 control.

33 ~~15.~~ 16. "Director" means the director of the department of liquor
34 licenses and control.

35 ~~16.~~ 17. "Distilled spirits" includes alcohol, brandy, whiskey,
36 rum, tequila, mescal, gin, absinthe, a compound or mixture of any of them
37 or of any of them with any vegetable or other substance, alcohol bitters,
38 ~~bitters containing alcohol, fruits preserved in ardent spirits,~~ BEVERAGES
39 THAT CONTAIN MORE THAN ONE-HALF OF ONE PERCENT OF ALCOHOL BY VOLUME AND
40 THAT ARE PRODUCED BY THE DISTILLATION OR RECTIFICATION OF FERMENTED
41 MATERIAL and any alcoholic mixture or preparation, whether patented or
42 otherwise, that may in sufficient quantities produce intoxication.

43 ~~17.~~ 18. "Employee":

44 (a) Means any person who performs any service on licensed premises
45 on a full-time, part-time or contract basis with consent of the licensee,
46 whether or not the person is denominated an employee or independent
47 contractor or otherwise. ~~Employee~~

1 (b) Does not include a person who is exclusively on the premises
2 for musical or vocal performances, for repair or maintenance of the
3 premises or for the delivery of goods to the licensee.

4 ~~18.~~ 19. "Farm winery" means a winery in the United States or in a
5 territory or possession of the United States that holds a license pursuant
6 to section 4-205.04.

7 ~~19.~~ 20. "Government license" means a license to serve and sell
8 spirituous liquor on specified premises available only to a state agency,
9 state board, state commission, county, city, town, community college or
10 state university or the national guard or Arizona coliseum and exposition
11 center on application by the governing body of the state agency, state
12 board, state commission, county, city, town, community college or state
13 university or the national guard or Arizona exposition and state fair
14 board.

15 ~~20.~~ 21. "Legal drinking age" means twenty-one years of age or
16 older.

17 ~~21.~~ 22. "License" means a license or an interim retail permit
18 issued pursuant to this title.

19 ~~22.~~ 23. "Licensee" means a person who has been issued a license or
20 an interim retail permit pursuant to this title or a special event
21 licensee.

22 ~~23.~~ 24. "License fees" means fees collected for license issuance,
23 license application, license renewal, interim permit issuance and license
24 transfer between persons or locations.

25 ~~24.~~ 25. "Manager" means a natural person who meets the standards
26 required of licensees and who has authority to organize, direct, carry on,
27 control or otherwise operate a licensed business on a temporary or
28 full-time basis.

29 ~~25.~~ 26. "Menu food item" means a food item from a regular menu,
30 special menu or happy hour menu that is prepared by the licensee or the
31 licensee's employee.

32 ~~26.~~ 27. "Microbrewery" means a brewery in the United States or in
33 a territory or possession of the United States that meets the requirements
34 of section 4-205.08.

35 ~~27.~~ 28. "Mixed cocktail":
36 (a) Means any drink combined at the premises of an authorized
37 licensee that contains a spirituous liquor and that is combined with at
38 least one other ingredient, which may include additional spirituous
39 liquors, fruit juice, vegetable juice, mixers, cream, flavored syrup or
40 other ingredients except water, and that when combined contains more than
41 one-half of one percent of alcohol by volume.

42 (b) Does not include a drink sold in an original manufacturer's
43 packaging or any drink poured from an original manufacturer's package
44 without the addition of all of the cocktail's other ingredients at the
45 premises of the licensed bar, liquor store or restaurant.

1 ~~28.~~ 29. "Off-sale retailer" means any person that operates a bona
2 fide regularly established retail liquor store that sells spirituous
3 liquors, wines and beer and any established retail store that sells
4 commodities other than spirituous liquors and that is engaged in the sale
5 of spirituous liquors only in the original unbroken package, to be taken
6 away from the premises of the retailer and to be consumed off the
7 premises.

8 ~~29.~~ 30. "On-sale retailer" means any person operating an
9 establishment where spirituous liquors are sold in the original container
10 for consumption on or off the premises or in individual portions for
11 consumption on the premises.

12 ~~30.~~ 31. "Permanent occupancy" means the maximum occupancy of the
13 building or facility as set by the office of the state fire marshal for
14 the jurisdiction in which the building or facility is located.

15 ~~31.~~ 32. "Person" includes a partnership, limited liability
16 company, association, company or corporation, as well as a natural person.

17 ~~32.~~ 33. "Premises" or "licensed premises":

18 (a) Means the area from which the licensee is authorized to sell,
19 dispense or serve spirituous liquors under the provision of the license.

20 (b) Includes a patio that is not contiguous to the remainder of the
21 premises or licensed premises if the patio is separated from the remainder
22 of the premises or licensed premises by a public or private walkway or
23 driveway not to exceed thirty feet, subject to rules the director may
24 adopt to establish criteria for noncontiguous premises.

25 ~~33.~~ 34. "Registered alcohol delivery contractor":

26 (a) Means a person who delivers spirituous liquor to a consumer on
27 behalf of a bar, beer and wine bar, liquor store, beer and wine store or
28 restaurant.

29 (b) Does not include:

30 (i) A motor carrier as defined in section 28-5201.

31 (ii) An independent contractor, a subcontractor of an independent
32 contractor, an employee of an independent contractor or an employee of a
33 subcontractor as provided in section 4-203, subsection J.

34 ~~34.~~ 35. "Registered mail" includes certified mail.

35 ~~35.~~ 36. "Registered retail agent" means any person who is
36 authorized pursuant to section 4-222 to purchase spirituous liquors for
37 and on behalf of the person and other retail licensees.

38 ~~36.~~ 37. "Repeated acts of violence" means:

39 (a) For licensed premises with a permanent occupancy of two hundred
40 or fewer persons, two or more acts of violence occurring within seven days
41 or three or more acts of violence occurring within thirty days.

42 (b) For licensed premises with a permanent occupancy of more than
43 two hundred but not more than four hundred persons, four or more acts of
44 violence within thirty days.

45 (c) For licensed premises with a permanent occupancy of more than
46 four hundred but not more than six hundred fifty persons, five or more
47 acts of violence within thirty days.

1 (d) For licensed premises with a permanent occupancy of more than
2 six hundred fifty but not more than one thousand fifty persons, six or
3 more acts of violence within thirty days.

4 (e) For licensed premises with a permanent occupancy of more than
5 one thousand fifty persons, seven or more acts of violence within thirty
6 days.

7 ~~37.~~ 38. "Sell" includes soliciting or receiving an order for,
8 keeping or exposing for sale, directly or indirectly delivering for value,
9 peddling, keeping with intent to sell and trafficking in.

10 ~~38.~~ 39. "Spirituous liquor":

11 (a) Includes alcohol, brandy, whiskey, rum, tequila, mescal, gin,
12 wine, porter, ale, beer, CIDER, any malt liquor or malt beverage,
13 absinthe, a compound or mixture of any of them or of any of them with any
14 vegetable or other substance, alcohol bitters, ~~bitters containing alcohol,~~
15 any liquid mixture or preparation, whether patented or otherwise, that
16 produces intoxication, ~~fruits preserved in ardent spirits,~~ and beverages
17 containing more than one-half of one percent of alcohol by volume.

18 (b) DOES NOT INCLUDE NONBEVERAGE PRODUCTS AS DEFINED IN 27 CODE OF
19 FEDERAL REGULATIONS PART 17 AND THAT ARE QUALIFIED BY THE UNITED STATES
20 ALCOHOL AND TOBACCO TAX AND TRADE BUREAU AS NONBEVERAGE PRODUCTS.

21 ~~39.~~ 40. "Tamperproof sealed" means designed to prevent consumption
22 without the removal of a tamperproof cap, seal, cork or closure that has a
23 device, mechanism or adhesive that clearly shows whether a container has
24 been opened.

25 ~~40.~~ 41. "Vehicle" means any means of transportation by land, water
26 or air, and includes everything made use of in any way for such
27 transportation.

28 ~~41.~~ 42. "Vending machine" means a machine that dispenses
29 merchandise through the means of coin, token, credit card or other
30 nonpersonal means of accepting payment for merchandise received.

31 ~~42.~~ 43. "Veteran" means a person who has served in the United
32 States air force, army, navy, marine corps, SPACE FORCE or coast guard, as
33 an active nurse in the services of the American red cross, in the army and
34 navy nurse corps in time of war, or in any expedition of the armed forces
35 of the United States, and who has received a discharge other than
36 dishonorable.

37 ~~43.~~ 44. "Voting security" means any security presently entitling
38 the owner or holder of the security to vote for the election of directors
39 of an applicant or a licensee.

40 ~~44.~~ 45. "Wine" means the product obtained by the fermentation of
41 grapes, other agricultural products containing natural or added sugar or
42 cider or any such alcoholic beverage fortified with grape brandy and
43 containing not more than twenty-four percent of alcohol by volume.

1 Sec. 2. Section 4-201, Arizona Revised Statutes, is amended to
2 read:

3 4-201. Licensing: application procedure in city, town or
4 county; burden of proof

5 A. A person desiring a license to ~~manufacture~~ **PRODUCE**, sell or deal
6 in spirituous liquors shall apply to the director on a form prescribed and
7 furnished by the director.

8 B. A person who files an application for a license within an
9 incorporated city or town shall file the application with the
10 director. The director shall remit the application to the city or town
11 clerk. The city or town clerk shall immediately file a copy of the
12 application in the clerk's office and post a copy for a period of twenty
13 days in a conspicuous place on the front of the premises where the
14 business is proposed to be conducted, with a statement requiring any
15 natural person who is a bona fide resident residing or owning or leasing
16 property within a one-mile radius from the premises proposed to be
17 licensed, and who is in favor of or opposed to the issuance of the
18 license, to file written arguments in favor of or opposed to the issuance
19 of the license with the clerk within twenty days after the date of
20 posting. The posting shall be limited to a copy of the license
21 application and shall not contain any attachments filed with the
22 application. The written argument shall contain the natural person's
23 complete name, street address or post office box address and written or
24 electronic signature. If the written arguments are filed by a person on
25 behalf of a corporation or other legal entity or association, the written
26 arguments must be accompanied by a copy of the entity's organizing
27 document, a designation of the office or position that the person holds
28 within the organization and a copy of the written appointment of the
29 person to speak on behalf of the organization. If the written arguments
30 are filed by a neighborhood association, block watch or other
31 unincorporated association, written arguments must be accompanied by a
32 letter of authority designating that person as a spokesperson. The
33 posting shall contain substantially the following:

34 Notice

35 A hearing on a liquor license application shall be held before
36 the local governing body at the following date, time and
37 place:

38 (Insert date, time and address)

39 The local governing body will recommend to the state liquor
40 board whether the board should grant or deny the license. The
41 state liquor board may hold a hearing to consider the
42 recommendation of the local governing body. Any person
43 residing or owning or leasing property within a one-mile
44 radius may contact the state liquor board in writing to
45 register as a protestor. To request information regarding
46 procedures before the board and notice of any board hearings
47 regarding this application, contact the state liquor board at:

1 (Insert address and telephone number).

2 No arguments shall be filed or accepted by the city or town clerk
3 thereafter. This subsection does not prevent a bona fide resident
4 residing or owning or leasing property within a one-mile radius from the
5 premises proposed to be licensed from testifying in favor of or in
6 opposition to the issuance of the license, regardless of whether or not
7 the person is a user or nonuser of spirituous liquor.

8 C. The governing body of the city, town or county shall then enter
9 an order recommending approval or disapproval within sixty days after the
10 filing of the application and shall file a certified copy of the order
11 with the director. If the recommendation is for disapproval, a statement
12 of the specific reasons containing a summary of the testimony or other
13 evidence supporting the recommendation for disapproval shall be attached
14 to the order. All petitions submitted to the governing body within the
15 twenty-day period for filing protests shall be transmitted to the director
16 with the certified copy of the order.

17 D. If a person applies for a license to conduct a spirituous liquor
18 business outside an incorporated city or town, the director shall remit
19 the application to the clerk of the board of supervisors of the county
20 where the applicant desires to do business, and the proceedings by the
21 clerk and board of supervisors shall be as provided for cities and towns.

22 E. On receipt of an application for a spirituous liquor license,
23 the director shall set the application for a hearing by the board on a
24 date following the expiration of the time fixed for the submitting of the
25 certified order by the governing body of the city or town or the board of
26 supervisors. If the city or town or the county recommends approval of the
27 license a hearing is not required unless the director, the board or any
28 aggrieved party requests a hearing on the grounds that the public
29 convenience and the best interest of the community will not be
30 substantially served if a license is issued. Any natural person residing
31 or owning or leasing property within a one-mile radius of the proposed
32 location may file a written protest with the director on a form prescribed
33 by the director not later than fifteen calendar days after action by the
34 local governing body or sixty days after the filing of the application,
35 whichever is sooner. The director shall allow protests to be submitted by
36 ~~e-mail~~ EMAIL. The written argument shall contain the natural person's
37 complete name, street address or post office box address and written or
38 electronic signature. If the written arguments are filed by a person on
39 behalf of a corporation or other legal entity or association, the written
40 arguments must be accompanied by a copy of the entity's organizing
41 document, a designation of the office or position that the person holds
42 within the organization and a copy of the written appointment of the
43 person to speak on behalf of the organization. If the written arguments
44 are filed by a neighborhood association, block watch or other
45 unincorporated association, written arguments must be accompanied by a
46 letter of authority designating that person as a spokesperson. If no
47 hearing is requested by the director, the board or any aggrieved party,

1 the application may be approved by the director. If the recommendation is
2 for disapproval of an application, the board shall hold a hearing. If the
3 city, town or county recommends approval of the license pursuant to
4 subsection C of this section or makes no recommendation, the director may
5 cancel the hearing and issue the license unless the board or any aggrieved
6 party requests a hearing. If the reason for the protest is clearly
7 removed or deemed satisfied by the director, the board shall cancel the
8 hearing. If the board cancels the hearing, the department may
9 administratively issue an order without the applicant licensee or other
10 parties present. The certified order, the reasons contained in the order
11 and the summary of the testimony and other evidence supporting the city,
12 town or county disapproval of the recommendation shall be read into the
13 record before the board and shall be considered as evidence by the board.
14 The board shall consider the certified order together with other facts and
15 a report of the director relating to the qualifications of the applicant.
16 If the governing body of the city or town or the board of supervisors
17 fails to return to the director, as provided in ~~subsections~~ SUBSECTION C
18 ~~and D~~ of this section, its order of disapproval, no hearing is required.
19 An application shall be approved or disapproved within one hundred five
20 days after the filing of the application. If, after a hearing by the
21 board where a license has been approved, a formal written order is not
22 entered within thirty days after the hearing, the decision of the board is
23 deemed entered on the thirtieth day after the hearing.

24 F. A hearing may be conducted by an administrative law judge at the
25 request of the board to make findings and recommendations for use by the
26 board in determining whether to grant or deny a license. The
27 administrative law judge shall submit a report of findings to the board
28 within twenty days after the hearing. The board may affirm, reverse,
29 adopt, modify, supplement, amend or reject the administrative law judge's
30 report in whole or in part.

31 G. Except for a person-to-person transfer of a transferable license
32 for use at the same location and as otherwise provided in section 4-203,
33 subsection A, in all proceedings before the governing body of a city or
34 town, the board of supervisors of a county or the board, the applicant
35 bears the burden of showing that the public convenience requires and that
36 the best interest of the community will be substantially served by the
37 issuance of a license.

38 H. In order to prevent the proliferation of spirituous liquor
39 licenses, the department may deny a license to a business on the grounds
40 that the business is inappropriate for the sale of spirituous liquor. An
41 inappropriate business is one that cannot clearly demonstrate that the
42 sale of spirituous liquor is directly connected to its primary purpose and
43 that the sale of spirituous liquor is not merely incidental to its primary
44 purpose.

45 I. The board shall adopt, by rule, guidelines that state criteria
46 for use in determining whether the public convenience requires and the
47 best interest of the community will be substantially served by the

1 issuance or transfer of a liquor license at the location applied for.
2 These guidelines shall govern the recommendations and other approvals of
3 the department and the local governing authority.

4 J. If the governing body of a city or town recommends disapproval
5 by a two-thirds vote of the members present and voting on an application
6 for the issuance or transfer of a spirituous liquor license that, if
7 approved, would result in a license being issued at a location either
8 having no license or having a license of a different series, the
9 application shall not be approved unless the board decides to approve the
10 application by a two-thirds vote of the members present and voting.

11 Sec. 3. Section 4-203, Arizona Revised Statutes, is amended to
12 read:

13 4-203. Licenses; issuance; transfer; reversion to state;
14 tastings; rules; off-sale privileges; order
15 requirements

16 A. A spirituous liquor license shall be issued only after
17 satisfactory showing of the capability, qualifications and reliability of
18 the applicant and, with the exception of wholesaler, producer, government
19 or club licenses, that the public convenience requires and that the best
20 interest of the community will be substantially served by the issuance.
21 If an application is filed for the issuance of a transferable or
22 nontransferable license, other than for a craft distiller license, a
23 microbrewery license or a farm winery license, for a location that on the
24 date the application is filed has a valid license of the same series, or
25 in the case of a restaurant license application filed for a location with
26 a valid hotel-motel license, issued at that location, there shall be a
27 rebuttable presumption that the public convenience and best interest of
28 the community at that location was established at the time the location
29 was previously licensed. The presumption may be rebutted by competent
30 contrary evidence. The presumption shall not apply once the licensed
31 location has not been in use for more than one hundred eighty days and the
32 presumption shall not extend to the personal qualifications of the
33 applicant.

34 B. The license shall be to ~~manufacture~~ PRODUCE, sell or deal in
35 spirituous liquors only at the place and in the manner provided in the
36 license. A separate license shall be issued for each specific business,
37 and each shall specify:

38 1. The particular spirituous liquors that the licensee is
39 authorized to ~~manufacture~~ PRODUCE, sell or deal in.

40 2. The place of business for which issued.

41 3. The purpose for which the liquors may be ~~manufactured~~ PRODUCED
42 or sold.

43 C. A spirituous liquor license issued to a bar, a liquor store or a
44 beer and wine bar shall be transferable as to any permitted location
45 within the same county, if the transfer meets the requirements of an
46 original application. A spirituous liquor license may be transferred to a
47 person qualified to be a licensee, if the transfer is pursuant to either

1 judicial decree, nonjudicial foreclosure of a legal or equitable lien,
2 including security interests held by financial institutions pursuant to
3 section 4-205.05, a sale of the license, a bona fide sale of the entire
4 business and stock in trade, or other bona fide transactions that are
5 provided for by rule. Any change in ownership of the business of a
6 licensee, directly or indirectly, as defined by rule is deemed a transfer,
7 except that there is no transfer if a new artificial person is added to
8 the ownership of a licensee's business but the controlling persons remain
9 identical to the controlling persons that have been previously disclosed
10 to the director as part of the licensee's existing ownership.

11 D. All applications for a new license pursuant to section 4-201 or
12 for a transfer to a new location pursuant to subsection C of this section
13 shall be filed with and determined by the director, except when the
14 governing body of the city or town or the board of supervisors receiving
15 an application pursuant to section 4-201 orders disapproval of the
16 application or when the director, the state liquor board or any aggrieved
17 party requests a hearing. The application shall then be presented to the
18 state liquor board, and the new license or transfer shall not become
19 effective unless approved by the state liquor board.

20 E. A person who assigns, surrenders, transfers or sells control of
21 a liquor license or business that has a spirituous liquor license shall
22 notify the director within thirty business days after the assignment,
23 surrender, transfer or sale. A spirituous liquor license shall not be
24 leased or subleased. A concession agreement entered into under section
25 4-205.03 is not considered a lease or sublease in violation of this
26 section.

27 F. If a person other than those persons originally licensed
28 acquires control over a license or licensee, the person shall file notice
29 of the acquisition with the director within thirty business days after the
30 acquisition of control and a list of officers, directors or other
31 controlling persons on a form prescribed by the director. There is no
32 acquisition of control if a new person is added to the ownership of a
33 licensee's business but the controlling persons remain identical to the
34 controlling persons that have been previously disclosed to the director as
35 part of the licensee's existing ownership. All officers, directors or
36 other controlling persons shall meet the qualifications for licensure as
37 prescribed by this title. On request, the director shall conduct a
38 preinvestigation before the assignment, sale or transfer of control of a
39 license or licensee, the reasonable costs of which, not more than \$1,000,
40 shall be borne by the applicant. The preinvestigation shall determine
41 whether the qualifications for licensure as prescribed by this title are
42 met. On receipt of notice of an acquisition of control or request of a
43 preinvestigation, the director, within fifteen days after receipt, shall
44 forward the notice of the acquisition of control to the local governing
45 body of the city or town, if the licensed premises is in an incorporated
46 area, or the county, if the licensed premises is in an unincorporated
47 area. The director shall include in the notice to the local governing

1 body written instructions on how the local governing body may examine,
2 free of charge, the results of the department's investigation regarding
3 the capabilities, qualifications and reliability of all officers,
4 directors or other controlling persons listed in the application for
5 acquisition of control. The local governing body, or the governing body's
6 designee, may provide the director with a recommendation, either in favor
7 of or against the acquisition of control, within sixty days after the
8 director mails the notice, but section 4-201 does not apply to the
9 acquisition of control provided for in this section. A local governing
10 body may charge not more than one fee, regardless of the number of
11 licenses held by the applicant, for review of one or more applications for
12 acquisition of control submitted to the department at the same time and
13 for the same entity. Within one hundred five days after filing the notice
14 of the acquisition of control, the director shall determine whether the
15 applicant is qualified, capable and reliable for licensure. A
16 recommendation by the local governing body, or the governing body's
17 designee, against the acquisition of control or denial by the director
18 shall be set for a hearing before the board. The person who has acquired
19 control of a license or licensee has the burden of an original application
20 at the hearing, and the board shall make its determination pursuant to
21 section 4-202 and this section with respect to capability, reliability and
22 qualification.

23 G. A licensee who holds a license in nonuse status for more than
24 five months shall be required to pay a \$100 surcharge for each month
25 thereafter. The surcharge shall be paid at the time the license is
26 returned to active status. A license automatically reverts to the state
27 after being held in continuous nonuse for more than thirty-six months.
28 The director may waive the surcharge and may extend the time period
29 provided in this subsection for good cause if the licensee files a written
30 request for an extension of time to place the license in active status
31 before the date of the automatic reversion. Unless the reverted license
32 of the licensee has been subsequently reissued, the director shall relieve
33 a licensee or its legal representative from a prior license reversion
34 under this section if the request for such relief is filed in writing not
35 later than two years after the date of reversion. A license shall not be
36 deemed to have gone into active status if the license is transferred to a
37 location that at the time of or immediately before the transfer had an
38 active license of the same type, unless the licenses are under common
39 ownership or control.

40 H. A restructuring of a licensee's business is not an acquisition
41 of control, a transfer of a spirituous liquor license or the issuance of a
42 new spirituous liquor license if both of the following apply:

43 1. All of the controlling persons of the licensee and the new
44 business entity are identical.

45 2. There is no change in control or beneficial ownership.

46 I. If subsection H of this section applies, the licensee's history
47 of violations of this title is the history of the new business entity.

1 The director may prescribe a form and shall require the applicant to
2 provide the necessary information to ensure compliance with this
3 subsection and subsections F and G of this section.

4 J. Notwithstanding subsection B of this section, the holder of a
5 retail license in this state having off-sale privileges, except a bar,
6 beer and wine bar or restaurant licensee, may take orders by telephone,
7 mail, fax or catalog, through the internet or by other means for the sale
8 and delivery of spirituous liquor off of the licensed premises to a person
9 in this state in connection with the sale of spirituous liquor.
10 Notwithstanding the definition of "sell" prescribed in section 4-101, the
11 placement of an order and payment pursuant to this section is not a sale
12 until delivery has been made. At the time that the order is placed, the
13 licensee shall inform the purchaser that state law requires a purchaser of
14 spirituous liquor to be at least twenty-one years of age and that the
15 person accepting delivery of the spirituous liquor is required to comply
16 with this state's age identification requirements as prescribed in section
17 4-241, subsections A and K. The licensee may maintain a delivery service
18 and may contract with one or more independent contractors, that may also
19 contract with one or more independent contractors, or may contract with a
20 common carrier for delivery of spirituous liquor if the spirituous liquor
21 is loaded for delivery at the premises of the retail licensee in this
22 state and delivered in this state. Except if the person delivering the
23 order has personally retrieved and bagged or otherwise packaged the
24 container of spirituous liquor for delivery and the licensee records, or
25 requires to be recorded electronically, the identification information for
26 each delivery, all containers of spirituous liquor delivered pursuant to
27 this subsection shall be conspicuously labeled with the words "contains
28 alcohol, signature of person who is twenty-one years of age or older is
29 required for delivery". The licensee is responsible for any violation of
30 this title or any rule adopted pursuant to this title that is committed in
31 connection with any sale or delivery of spirituous liquor. Delivery must
32 be made by an employee of the licensee or other authorized person as
33 provided by this section who is at least twenty-one years of age to a
34 customer who is at least twenty-one years of age and who displays an
35 identification at the time of delivery that complies with section 4-241,
36 subsection K. The retail licensee shall collect payment for the full
37 price of the spirituous liquor from the purchaser before the product
38 leaves the licensed premises. The director shall adopt rules that set
39 operational limits for the delivery of spirituous liquors by the holder of
40 a retail license having off-sale privileges. With respect to the delivery
41 of spirituous liquor, for any violation of this title or any rule adopted
42 pursuant to this title that is based on the act or omission of a
43 licensee's employee or other authorized person, the mitigation provision
44 of section 4-210, subsection G applies, with the exception of the training
45 requirement. For the purposes of this subsection and notwithstanding the
46 definition of "sell" prescribed in section 4-101, section 4-241,
47 subsections A and K apply only at the time of delivery. For the purposes

1 of compliance with this subsection, an independent contractor, a
2 subcontractor of an independent contractor, the employee of an independent
3 contractor or the employee of a subcontractor is deemed to be acting on
4 behalf of the licensee when making a delivery of spirituous liquor for the
5 licensee.

6 K. Except as provided in subsection J of this section, Arizona
7 licensees may transport spirituous liquors for themselves in vehicles
8 owned, leased or rented by the licensee.

9 L. Notwithstanding subsection B of this section, an off-sale retail
10 licensee may provide consumer tasting of wines off of the licensed
11 premises subject to all applicable provisions of section 4-206.01.

12 M. The director may adopt reasonable rules to protect the public
13 interest and prevent abuse by licensees of the activities permitted such
14 licensees by subsections J and L of this section.

15 N. Failure to pay any surcharge prescribed by subsection G of this
16 section or failure to report the period of nonuse of a license shall be
17 grounds for revocation of the license or grounds for any other sanction
18 provided by this title. The director may consider extenuating
19 circumstances if control of the license is acquired by another party in
20 determining whether or not to impose any sanctions under this subsection.

21 O. If a licensed location has not been in use for three years, the
22 location must requalify for a license pursuant to subsection A of this
23 section and shall meet the same qualifications required for issuance of a
24 new license except when the director deems that the nonuse of the location
25 was due to circumstances beyond the licensee's control and an extension of
26 time has been granted pursuant to subsection G of this section.

27 P. If the licensee's interest is forfeited pursuant to section
28 4-210, subsection L, the location shall requalify for a license pursuant
29 to subsection A of this section and shall meet the same qualifications
30 required for issuance of a new license except when a bona fide lienholder
31 demonstrates mitigation pursuant to section 4-210, subsection K.

32 Q. The director may implement a procedure for the issuance of a
33 license with a licensing period of two years.

34 R. For any sale of a farm winery or craft distiller or change in
35 ownership of a farm winery or craft distiller directly or indirectly, the
36 business, stock-in-trade and spirituous liquor may be transferred with the
37 ownership, in compliance with the applicable requirements of this title.

38 S. Notwithstanding subsection B of this section, bar, beer and wine
39 bar, liquor store, beer and wine store or restaurant licensees in this
40 state may take orders by telephone, mail, fax or catalog, through the
41 internet or by other means for the sale and delivery of spirituous liquor
42 off the licensed premises as follows:

43 1. Bar licensees for beer, wine, distilled spirits and mixed
44 cocktails.

45 2. Beer and wine bar licensees for beer and wine.

46 3. Liquor store licensees for beer, wine, distilled spirits and
47 mixed cocktails.

1 4. Beer and wine store licensees for beer and wine.

2 5. Restaurant licensees for any of the following:

3 (a) Mixed cocktails, with the sale of menu food items for
4 consumption on or off the licensed premises, if the restaurant holds a
5 permit issued pursuant to section 4-203.07 and section 4-205.02,
6 subsection K ~~or a lease pursuant to section 4-203.06.~~

7 (b) Beer if the restaurant holds a permit issued pursuant to
8 section 4-205.02, subsection H.

9 (c) Beer, wine and distilled spirits if the restaurant holds an
10 off-sale privileges lease with a bar or liquor store pursuant to section
11 4-203.07.

12 (d) Beer and wine if the restaurant holds an off-sale privileges
13 lease with a beer and wine bar pursuant to section 4-203.07.

14 T. Notwithstanding the definition of "sell" prescribed in section
15 4-101, placing an order and paying for that order pursuant to subsection S
16 of this section is not a sale until delivery has been made. At the time
17 that the order is placed, the licensee shall inform the purchaser that
18 state law requires a purchaser of spirituous liquor to be at least
19 twenty-one years of age and that the person accepting delivery of the
20 spirituous liquor is required to comply with this state's age
21 identification requirements as prescribed in section 4-241, subsections A
22 and K. The licensee may maintain a delivery service and may contract with
23 one or more alcohol delivery contractors registered pursuant to section
24 4-205.13 for delivery of spirituous liquor if the spirituous liquor is
25 packaged and tamperproof sealed by the bar, beer and wine bar, liquor
26 store, beer and wine store or restaurant licensee or the licensee's
27 employee and is loaded for delivery at the premises of the restaurant,
28 beer and wine bar, liquor store, beer and wine store or bar licensee in
29 this state and delivered in this state on the same business day. A liquor
30 store or beer and wine store licensee may contract with one or more
31 independent contractors as provided in subsection J of this section for
32 delivery of spirituous liquor if the spirituous liquor is loaded for
33 delivery at the premises of the liquor store or beer and wine store
34 licensee in this state and delivered in this state on the same business
35 day. All containers of spirituous liquor delivered pursuant to subsection
36 S of this section shall be tamperproof sealed and conspicuously labeled
37 with the words "contains alcohol, signature of person who is twenty-one
38 years of age or older is required for delivery". The licensee is
39 responsible for any violation of this title or any rule adopted pursuant
40 to this title that is committed in connection with any sale or delivery of
41 spirituous liquor. Delivery must be made by an employee of the licensee
42 or an employee or authorized independent contractor of a registered
43 alcohol delivery contractor as provided by this section who is at least
44 twenty-one years of age and delivery must be made to a customer who is at
45 least twenty-one years of age and who displays an identification at the
46 time of delivery that complies with section 4-241, subsection K. The
47 restaurant, beer and wine bar, liquor store, beer and wine store or bar

1 licensee shall collect payment for the full price of the spirituous liquor
2 from the purchaser before the product leaves the licensed premises. The
3 director shall adopt rules that set operational limits for the delivery of
4 spirituous liquor pursuant to this subsection and subsection S of this
5 section with respect to the delivery of spirituous liquor. For any
6 violation of this title or any rule adopted pursuant to this title that is
7 based on the act or omission of a licensee's employee or a registered
8 alcohol delivery contractor, the mitigation provision of section 4-210,
9 subsection G applies, with the exception of the training requirement. For
10 the purposes of this subsection and notwithstanding the definition of
11 "sell" prescribed in section 4-101, section 4-241, subsections A and K
12 apply only at the time of delivery. An alcohol delivery contractor, a
13 subcontractor of an alcohol delivery contractor, an employee of an alcohol
14 delivery contractor or an employee of a subcontractor is deemed to be
15 acting on behalf of the licensee when making a delivery of spirituous
16 liquor for the licensee. For the purposes of this subsection, "business
17 day" means between the hours of 6:00 a.m. of one day and 2:00 a.m. of the
18 next day.

19 U. A licensee that has off-sale privileges and that delivers
20 spirituous liquor as prescribed in this section shall complete a written
21 record of each delivery at the time of delivery. The written record shall
22 include all of the following:

- 23 1. The name of the licensee making the delivery.
- 24 2. The complete address of the licensee making the delivery.
- 25 3. The licensee's license number.
- 26 4. The date and time of the delivery.
- 27 5. The address where the delivery was made.
- 28 6. The type and brand of all spirituous liquor delivered.

29 V. A licensee that has off-sale privileges and that delivers
30 spirituous liquor as prescribed in this section shall obtain the following
31 information from the individual who accepts delivery:

- 32 1. The individual's name.
- 33 2. The individual's date of birth.
- 34 3. The individual's signature. The licensee making the delivery
35 may use an electronic signature system to comply with the requirements of
36 this paragraph.

37 Sec. 4. Section 4-203.01, Arizona Revised Statutes, is amended to
38 read:

39 4-203.01. Interim permit; fee; rules

40 A. The director may issue an interim permit to the applicant for a
41 license of the same series, or for the replacement of a hotel-motel
42 license with a restaurant license, at the same premises, **REGARDLESS OF**
43 **whether that license is transferrable or nontransferable and REGARDLESS OF**
44 **WHETHER THAT LICENSE HAS BEEN USED IN THE PAST THREE YEARS, IF** any of the
45 following conditions exists:

- 46 1. The director has good cause to believe the licensee is no longer
47 in possession of the licensed premises.

1 2. The license for such premises was surrendered OR EXPIRED OR WAS
2 TERMINATED, CANCELED OR IN NONUSE AT THAT PREMISES pursuant to rules of
3 the department.

4 3. The applicant for the interim permit filed with the department
5 an application for the issuance of a license of the same series of
6 nontransferable license or the transfer or replacement of a transferable
7 license of the same series, or for the replacement of a hotel-motel
8 license with a restaurant license, at the same premises.

9 B. The application for the interim permit shall be accompanied by
10 an interim permit fee of ~~one hundred dollars~~ \$100.

11 C. An interim permit issued by the director pursuant to this
12 section shall be for a period of not more than one hundred five days and
13 shall not be extended except as provided in subsection D of this
14 section. An interim permit is a conditional permit and authorizes the
15 holder to sell such alcoholic beverages as would be permitted to be sold
16 under the privileges of the license for which application has been filed
17 with the department.

18 D. Notwithstanding subsection C of this section, if the director
19 extends the time limit for action by the department in connection with a
20 license issuance or transfer pursuant to section 4-201.01, subsection B,
21 the director shall issue an additional interim permit for a period equal
22 to such extension unless either:

23 1. No interim permit has previously been issued.

24 2. For good cause shown the director denies the additional interim
25 permit.

26 E. Notwithstanding any other law, an interim permit may be canceled
27 or suspended summarily at any time, if the director determines that good
28 cause for such cancellation or suspension exists. There shall be no
29 appeal from such cancellation or suspension of an interim permit to the
30 board. The board may cancel an interim permit on applications that have
31 been disapproved by the board. The cancellation or suspension of an
32 interim permit may be appealed directly to the superior court.

33 F. Application for an interim permit shall be on such form as the
34 director ~~shall prescribe~~ PRESCRIBES. If an application for an interim
35 permit is withdrawn before issuance or is refused by the director, the fee
36 that accompanies such application shall be refunded.

37 G. If an application for transfer of a license, person to person,
38 or nontransferable spirituous liquor license is denied or an interim
39 permit is revoked, IS suspended or expires, the licensee may request the
40 return of the surrendered license that has been issued for such premises.

41 H. The director may prescribe rules governing the issuance of
42 interim permits under this section.

43 I. The director may deny an interim permit in situations in which a
44 current licensee holds a license described in section 4-209, subsection B,
45 paragraph 12 and the current license is not in compliance with section
46 4-205.02.

1 Sec. 5. Section 4-205.02, Arizona Revised Statutes, is amended to
2 read:

3 4-205.02. Restaurant license; issuance; regulatory
4 provisions; expiration; off-sale leases and
5 permits; fee; definitions

6 A. The director may issue a restaurant license to any restaurant in
7 this state that is regularly open for serving food to guests for
8 compensation and that has suitable kitchen facilities connected with the
9 restaurant for keeping, cooking and preparing foods required for ordinary
10 meals.

11 B. The director shall issue the license in the name of the
12 restaurant on application for the license by the owner or lessee of the
13 restaurant, if the applicant is otherwise qualified to hold a spirituous
14 liquor license. The holder of such a license is subject to the penalties
15 prescribed for any violation of the law relating to alcoholic beverages.

16 C. The holder of a restaurant license may sell and serve spirituous
17 liquors solely for consumption on the licensed premises. For the purpose
18 of this subsection, "licensed premises" may include rooms, areas or
19 locations in which the restaurant normally sells or serves spirituous
20 liquors pursuant to regular operating procedures and practices and that
21 are contiguous to the restaurant or a noncontiguous patio pursuant to
22 section 4-101, paragraph ~~32~~ 33. For the purposes of this subsection, a
23 restaurant licensee must submit proof of tenancy or permission from the
24 landowner or lessor for all property to be included in the licensed
25 premises.

26 D. In addition to other grounds prescribed in this title on which a
27 license may be revoked, the director may require the holder of a
28 restaurant license issued pursuant to this section to surrender the
29 license in any case in which the licensee ceases to operate as a
30 restaurant, as prescribed in subsection A of this section. The surrender
31 of a license pursuant to this subsection does not prevent the director
32 from revoking the license for other grounds prescribed in this title or
33 for making deliberate material misrepresentations to the department
34 regarding the licensee's equipment, service or entertainment items or
35 seating capacity in applying for the restaurant license.

36 E. Neither the director nor the board may initially issue a
37 restaurant license if either finds that there is sufficient evidence that
38 the operation will not satisfy the criteria adopted by the director for
39 issuing a restaurant license described in section 4-209, subsection B,
40 paragraph 12. The director shall issue a restaurant license only if the
41 applicant has submitted a plan for the operation of the restaurant. The
42 plan shall be completed on forms provided by the department and shall
43 include listings of all restaurant equipment and service items, the
44 restaurant seating capacity and other information requested by the
45 department to substantiate that the restaurant will operate in compliance
46 with this section.

1 F. The holder of the license described in section 4-209, subsection
2 B, paragraph 12 who intends to alter the seating capacity or dimensions of
3 a restaurant facility shall notify the department in advance on forms
4 provided by the department.

5 G. The director may charge a fee for site inspections conducted
6 before the issuance of a restaurant license.

7 H. A restaurant applicant or licensee may apply for a permit
8 allowing for the sale of beer for consumption off the licensed premises
9 pursuant to section 4-244, paragraph 32, subdivision (c) on a form
10 prescribed and furnished by the director. The department shall not issue
11 a permit to a restaurant applicant or licensee that does not meet the
12 requirements in section 4-207, subsection A. Section 4-207, subsection B
13 does not apply to this subsection. The permit shall be issued only after
14 the director has determined that the public convenience requires and that
15 the best interest of the community will be substantially served by the
16 issuance of the permit, considering the same criteria adopted by the
17 director for issuing a restaurant license described in section 4-209,
18 subsection B, paragraph 12. The amount of beer sold under the permit
19 shall not exceed ten percent of gross revenue of spirituous liquor sold by
20 the establishment. After the permit has been issued, the permit shall be
21 noted on the license itself and in the records of the department. The
22 director may charge a fee for processing the application for the permit
23 and a renewal fee.

24 I. Notwithstanding any rule adopted by the department, business
25 establishments that relied on a form issued by the department that
26 provides for a small restaurant exemption for fifty or fewer seats before
27 January 31, 2019 are allowed to continue to maintain the capacity of fifty
28 or fewer seats for the duration of the business. The rights of a business
29 establishment subject to this section are not transferable.

30 J. Notwithstanding section 4-203, subsection E, section 4-207 and
31 section 4-210, subsection A, paragraph 6, through December 31, 2025, a
32 restaurant applicant or licensee may apply to the department for a lease
33 for the privilege of selling mixed cocktails for consumption off the
34 licensed premises pursuant to ~~section 4-203.06 and~~ section 4-244,
35 paragraph 32, subdivision (d).

36 K. Notwithstanding section 4-207, beginning January 1, 2026, a
37 restaurant applicant or licensee may apply for a permit to allow the sale
38 of mixed cocktails for consumption off the licensed premises pursuant to
39 section 4-203.07 and section 4-244, paragraph 32, subdivision (d), on a
40 form prescribed and furnished by the director. The sale of mixed
41 cocktails for consumption off the licensed premises must be accompanied by
42 the sale of menu food items for consumption on or off the licensed
43 premises. The department shall issue the permit only after the director
44 has determined that the public convenience requires and that the best
45 interest of the community will be substantially served by issuing the
46 permit. All permit holders and their employees, managers and agents must
47 complete alcohol training pursuant to section 4-112, subsection G,

1 paragraph 2. After the department issues the permit, the permit shall be
2 noted on the license itself and in the records of the department. The
3 director may establish and charge a fee for processing the permit
4 application and a renewal fee.

5 L. A restaurant licensee shall cease selling spirituous liquor,
6 including mixed cocktails, for off-premises consumption when the licensee
7 ceases regular kitchen service for food.

8 M. For the purposes of this section:

9 1. "Gross revenue":

10 (a) Means the revenue derived from all sales of food and spirituous
11 liquor on the licensed premises, regardless of whether the sales of
12 spirituous liquor are made under a restaurant license issued pursuant to
13 this section or under any other license that has been issued for the
14 premises pursuant to this article.

15 (b) Includes revenue derived from spirituous liquor sold for
16 off-sale consumption.

17 2. "Restaurant" means an establishment that derives at least forty
18 percent of its gross revenue from the sale of food, including sales of
19 food for consumption off the licensed premises if the amount of these
20 sales included in the calculation of gross revenue from the sale of food
21 does not exceed fifteen percent of all gross revenue of the restaurant.

22 Sec. 6. Section 4-205.04, Arizona Revised Statutes, is amended to
23 read:

24 4-205.04. Farm winery license; issuance; regulatory
25 provisions; retail site; fee

26 A. The director may issue a farm winery license to any person who
27 meets the requirements of subsection C of this section. Each location
28 that engages in producing ~~or manufacturing~~ these products must obtain a
29 separate farm winery license. The licensee may not transfer the farm
30 winery license from person to person or from location to location.

31 B. An applicant for a farm winery license, at the time of filing
32 the application for the license, shall accompany the application with the
33 license fee. A person who holds a farm winery license shall report
34 annually at the end of each calendar year, at the time and in the manner
35 as the director prescribes, the amount of wine produced ~~or manufactured~~ by
36 the licensee during the calendar year. In addition to any provision of
37 this title, if the total amount of wine produced ~~or manufactured~~ during
38 the year exceeds the amount permitted annually by the license, the
39 licensee shall apply for and receive a producer's license only on
40 surrender of the farm winery license or licenses.

41 C. A person may be licensed as a farm winery to sell wine produced
42 ~~or manufactured~~ if in a calendar year it produces at least two hundred
43 gallons and not more than forty thousand gallons of wine and if the winery
44 either holds a winery permit issued by the United States alcohol and
45 tobacco tax and trade bureau or has a contract pursuant to subsection D of
46 this section for the production ~~or manufacturing~~ of wine from grapes or
47 other fruit grown on at least five producing acres of land owned or

1 controlled by the applicant and the land has been devoted to fruit growing
2 for at least three consecutive calendar years. A licensed farm winery may
3 make sales and deliveries of wine only as specifically provided in this
4 section and as follows:

5 1. A licensed farm winery may make sales and deliveries of wine to
6 wholesalers licensed to sell wine under this title.

7 2. A licensed farm winery may serve wine produced ~~or manufactured~~
8 on the premises for the purpose of sampling the wine. The wine may
9 include wine produced pursuant to subsection D of this section and section
10 4-243.03.

11 3. A representative of the licensed farm winery may consume small
12 amounts of the products of the licensed farm winery on the premises for
13 the purpose of sampling the wine. The wine may include wine produced
14 pursuant to subsection D of this section and section 4-243.03.

15 4. A licensed farm winery may sell to a consumer physically present
16 on the premises wine produced ~~or manufactured~~ on the premises in the
17 original container for consumption on or off the premises. The wine may
18 include wine produced pursuant to subsection D of this section and section
19 4-243.03.

20 5. A licensed farm winery may purchase and sell wine produced,
21 packaged and labeled by another licensed farm winery for sampling and
22 consumption on or off the premises only if the retail sale is to a
23 consumer physically present on the premises of the farm winery, except
24 that the sales of wine produced, packaged and labeled by another winery
25 may not exceed twenty percent of the farm winery's sales by volume. The
26 percentage limitation shall not apply to wine produced pursuant to
27 subsection D of this section and section 4-243.03.

28 6. If the licensed farm winery is not otherwise engaged in the
29 business of a distiller, vintner, brewer, rectifier, blender or other
30 producer of spirituous liquor in any jurisdiction, the licensed farm
31 winery may hold licenses prescribed in section 4-209, subsection B,
32 paragraph 12 on the licensed farm winery premises or other retail
33 premises. Except as provided in paragraph 5 of this subsection, the
34 licensed farm winery shall purchase all other spirituous liquor for sale
35 at the on-sale retail premises from wholesalers that are licensed in this
36 state, except that a licensed farm winery may:

37 (a) Purchase wine from other farm wineries pursuant to paragraph 7
38 of this subsection.

39 (b) Make deliveries of the wine that the farm winery produces to
40 the farm winery's own commonly controlled retail licensed premises.

41 7. A licensed farm winery that produces not more than twenty
42 thousand gallons of wine in a calendar year may make sales and deliveries
43 of the wine that the licensed farm winery produces to on-sale and off-sale
44 retailers.

45 8. Notwithstanding section 4-244, paragraphs 3 and 7, an on-sale or
46 off-sale retailer may purchase and accept delivery of wine from a licensed
47 farm winery pursuant to paragraph 7 of this subsection.

1 9. A licensed farm winery that produces not more than twenty
2 thousand gallons of wine in a calendar year may make sales and deliveries
3 of wine that the licensed farm winery produces to consumers off of the
4 licensed premises and that is ordered by telephone, mail, fax or
5 catalogue, through the internet or by other means if all of the following
6 apply:

7 (a) The purchaser of the wine provided the licensed farm winery
8 with verification of the purchaser's legal age to purchase alcohol.

9 (b) The shipping container in which the wine is shipped is marked
10 to require the signature on delivery of an adult who is of legal age to
11 purchase alcohol and delivery confirmation.

12 (c) The wine is for personal use only and not for resale.

13 (d) The wine is delivered by the licensed farm winery or shipped by
14 the licensed farm winery by a common carrier to a residential or business
15 address other than a premises licensed pursuant to this title.

16 (e) The purchaser could have carried the wine lawfully into or
17 within this state.

18 (f) The delivery is made by a person who is at least twenty-one
19 years of age.

20 (g) The farm winery collects payment for the price of the
21 spirituous liquor not later than at the time of delivery.

22 10. A licensed farm winery may make sales and deliveries as
23 expressly permitted by sections 4-203.03, 4-203.04 and 4-244.04.

24 D. A person otherwise qualified to receive a farm winery license
25 may enter into a custom crush arrangement where a licensed winery produces
26 ~~or manufactures~~ wine from grapes or other fruit supplied by the person.
27 The winery receiving the fruit shall be licensed by the United States
28 alcohol and tobacco tax and trade bureau and the department and is
29 responsible for filing all reports that relate to its wine production ~~or~~
30 ~~manufacturing~~ with the United States alcohol and tobacco tax and trade
31 bureau and the department. Each person supplying the grapes or other
32 fruit shall first apply for and receive a farm winery license and shall
33 report to the department all volumes of wine from its custom crush
34 arrangements, which shall not be allocated to the gallonage of the
35 receiving farm winery if the supplying farm winery has an active basic
36 permit issued by the United States alcohol and tobacco tax and trade
37 bureau.

38 E. On application by a farm winery licensee, the director may
39 authorize a farm winery licensee to operate up to two remote tasting and
40 retail premises if:

41 1. The wine sold at the premises is limited to wine produced ~~or~~
42 ~~manufactured~~ by the licensed farm winery and wines produced ~~or~~
43 ~~manufactured~~ by other licensed farm wineries, including wines produced ~~or~~
44 ~~manufactured~~ pursuant to subsection D of this section and section
45 4-243.03. The farm winery may sell wine to a consumer physically present
46 on the premises for consumption on or off the premises. Sales of wines
47 not produced ~~or manufactured~~ by the farm winery are limited to not more

1 than twenty percent of the total sales by volume at that location. The
2 percentage limitation shall not apply to wine produced pursuant to
3 subsection D of this section and section 4-243.03.

4 2. The farm winery licensee:

5 (a) Remains responsible for the premises.

6 (b) Obtains approval for the premises from the local governing body
7 before submitting an application to the department. A copy of an order
8 from the local governing body recommending approval of the premises must
9 be filed with the department as part of the application.

10 (c) Does not sublease the premises.

11 (d) Has an agent who is a natural person who meets the
12 qualifications of licensure in this state.

13 (e) Meets the qualifications for a license pursuant to section
14 4-203, subsection A.

15 F. A farm winery licensee may hold a craft distiller license issued
16 pursuant to section 4-205.10. The farm winery and craft distiller
17 licensee is subject to all other requirements of this section and section
18 4-205.10. The farm winery may provide sampling and sales of the distilled
19 spirits pursuant to section 4-205.10, subsection C, paragraphs 2 and 3 on
20 the same premises as the wine sampling and retail sales.

21 G. The farm winery is liable for any violation committed in
22 connection with any sale or delivery of the wine. The rules adopted by
23 the director pursuant to section 4-203, subsection J apply to the delivery
24 of wine under subsection C, paragraph 9 of this section. An act or
25 omission of any person who makes a sale or delivery of wine for a licensee
26 under subsection C, paragraph 9 of this section is deemed to be an act or
27 omission of the licensee for the purposes of section 4-210, subsection A,
28 paragraph 9.

29 H. A farm winery that sells or delivers wine pursuant to this
30 section shall:

31 1. Pay to the department of revenue all luxury taxes imposed
32 pursuant to title 42, chapter 3 and all transaction privilege or use taxes
33 imposed pursuant to title 42, chapter 5.

34 2. File all returns or reports required by law.

35 I. A delivery of wine by a farm winery to a purchaser in this state
36 is a transaction deemed to have occurred in this state.

37 J. The director shall adopt rules in order to administer this
38 section.

39 K. The director may charge an additional farm winery license fee
40 adopted pursuant to section 4-209 for issuing licenses, authorizations or
41 approvals pursuant to subsections D and E of this section.

42 ~~L. The farm winery licensee that operates primarily as a remote~~
43 ~~tasting room premises may exchange the farm winery license for a remote~~
44 ~~tasting room license without an additional fee, not later than~~
45 ~~December 31, 2018. The new A~~ remote tasting room license must be
46 connected to ~~a~~ THE farm winery license, with common ownership, ~~that~~

1 ~~complies~~ AND SHALL COMPLY with all requirements for a farm winery license
2 pursuant to subsections C and E of this section.

3 M. Production and storage space of the farm winery is excluded from
4 the licensed farm winery premises and is not the public area unless that
5 space is also used for the sale of wine to the public or consumption of or
6 sampling of wine by the public or to provide other services to the public.
7 Pursuant to section 4-118, the director, the director's agents or any
8 peace officer may inspect spaces excluded by this subsection. For the
9 purposes of this subsection, "public area" means a place within a farm
10 winery that is accessible to the public and in which the farm winery
11 authorizes the presence of members of the public.

12 Sec. 7. Section 4-205.08, Arizona Revised Statutes, is amended to
13 read:

14 4-205.08. Microbrewery license; issuance; regulatory
15 provisions; retail site

16 A. The director may issue a microbrewery license to any
17 microbrewery. Each location that engages in producing, ~~manufacturing~~ and
18 bottling these products must obtain a separate microbrewery license. The
19 licensee may not transfer the microbrewery license from person to person
20 or from location to location.

21 B. An applicant for a microbrewery license, at the time of filing
22 the application for the license, shall accompany the application with the
23 license fee. Persons holding a microbrewery license shall report annually
24 at the end of each calendar year, at the time and in the manner as the
25 director prescribes, the amount of beer produced ~~or manufactured~~ by them
26 during the calendar year and the amount delivered pursuant to subsection
27 D, paragraph 4, subdivision (b) of this section. If the total amount of
28 beer that is produced ~~or manufactured~~ during the calendar year exceeds the
29 amount permitted annually by the license, the licensee shall apply for and
30 receive a producer's license only on surrender of the microbrewery license
31 or licenses and shall have no continuing rights as a microbrewery under
32 this section. On the surrender of the microbrewery license or licenses,
33 the licensee shall transfer, surrender or otherwise relinquish control of
34 all of its retail licenses located remotely from a microbrewery.

35 C. Notwithstanding any other law, a licensed microbrewery may:

36 1. Sell beer produced ~~or manufactured~~ on the premises for
37 consumption on or off the premises.

38 2. Make sales and deliveries of beer that the microbrewery produces
39 ~~or manufactures~~ to persons licensed to sell beer under this title through
40 wholesalers licensed under this title or as provided in subsection D,
41 paragraph 4, subdivision (a) or (b) of this section.

42 3. Make sales and deliveries of beer that the microbrewery produces
43 ~~or manufactures~~ to persons licensed to sell beer in another state if
44 lawful under the laws of that state.

45 4. Serve beer produced ~~or manufactured~~ on the premises for the
46 purpose of sampling the beer.

1 5. Sell beer produced ~~or manufactured~~ by other microbreweries for
2 consumption only on the premises of the licensee, except that the sales
3 percentage of beer from other microbreweries may not exceed twenty percent
4 of the licensee's annual sales of beer by volume at the premises. If the
5 other microbrewery has established a distribution relationship with one or
6 more wholesalers who are licensed under this title, the beer shall be
7 purchased through those wholesalers.

8 6. Maintain at no charge a tapping equipment system of a licensed
9 retailer when the microbrewery sells beer as provided in subsection D,
10 paragraphs 3 and 4 of this section, including cleaning the tapping
11 equipment system and replacing bonnet washers, friction rings, valve
12 stems, hardware, unions, clamps, air tees, screws, tapping devices, tower
13 heads and single air and beer lines.

14 D. A licensed microbrewery is subject to all of the following
15 requirements:

16 1. The microbrewery shall produce ~~or manufacture~~ not less than one
17 thousand gallons of beer in each calendar year following the first year of
18 operation.

19 2. The microbrewery shall not produce ~~or manufacture~~ more than six
20 million two hundred thousand gallons of beer in a calendar year.

21 3. If retail operations are conducted in conjunction with the
22 microbrewery, the microbrewery may sell other spirituous liquor products
23 if the microbrewery holds an on-sale retail license for a bar, beer and
24 wine bar or restaurant. The microbrewery may be issued up to a combined
25 total of seven retail licenses in this state, whether the premises are
26 located on or adjacent to a microbrewery or remotely from a microbrewery.
27 The limit on the number of retail licenses applies on an aggregated basis
28 to all microbreweries that are under common control of any person with
29 control of the microbrewery.

30 4. The microbrewery may make sales and deliveries of beer that it
31 has produced ~~or manufactured~~ to both:

32 (a) Retail licensees that meet the requirements prescribed in
33 paragraph 3 of this subsection in any amount.

34 (b) Any other retail licensee in a cumulative amount not to exceed
35 ninety-three thousand gallons in total for all licensed retailers in any
36 calendar year.

37 E. A microbrewery that produces ~~or manufactures~~ more than one
38 million two hundred forty thousand gallons of beer in a calendar year
39 maintains all of the rights associated with a microbrewery license, except
40 that the microbrewery shall not:

41 1. Apply for or receive a retail license pursuant to subsection D,
42 paragraph 3 of this section for premises that are located remotely from
43 the microbrewery.

44 2. Make sales or deliveries of beer that the microbrewery has
45 produced ~~or manufactured~~ to any retail licensee as provided in subsection
46 D, paragraph 4 of this section, except for the microbrewery's retail
47 licensees on or adjacent to the microbrewery.

1 F. The gallonage amounts prescribed in subsection D, paragraph 2
2 and subsection E of this section apply to the aggregate ~~manufacture or~~
3 production of all microbreweries that are under common control of any
4 person with control of the microbrewery.

5 G. A microbrewery that is otherwise engaged as a distiller,
6 vintner, brewer, rectifier, blender or other producer of spirituous liquor
7 in any jurisdiction is prohibited from holding any retail license that is
8 located remotely from a microbrewery. This subsection does not prohibit a
9 person with control of more than one microbrewery from conducting retail
10 operations remotely from a microbrewery pursuant to subsection D,
11 paragraph 3 of this section.

12 H. A microbrewery that sells or delivers beer pursuant to this
13 section shall:

14 1. Pay to the department of revenue all luxury taxes imposed
15 pursuant to title 42, chapter 3 and all transaction privilege or use taxes
16 imposed pursuant to title 42, chapter 5.

17 2. File all returns or reports required by law.

18 I. A delivery of beer by a microbrewery to a purchaser in this
19 state is a transaction deemed to have occurred in this state.

20 J. The director shall adopt rules to administer this section.

21 Sec. 8. Section 4-205.10, Arizona Revised Statutes, is amended to
22 read:

23 4-205.10. Craft distiller license; issuance; regulatory
24 provisions; fee

25 A. The director may issue a craft distiller license to any person
26 that meets the requirements of subsection C of this section. Each
27 location that engages in producing and bottling these products must obtain
28 a separate craft distiller license. The licensee may not transfer the
29 craft distiller license from person to person or from location to location
30 and may not also hold a producer's license. The licensee and all commonly
31 controlled craft distiller licensees may not ~~manufacture or~~ produce more
32 than twenty thousand gallons of distilled spirits in a calendar year. For
33 the purposes of this section, annual gallonage shall be the total proof
34 gallons of finished distilled product available for wholesale or retail
35 sale as defined by 26 United States Code section 5002 and rules adopted
36 pursuant to this section or its successor.

37 B. Persons holding a craft distiller license shall report annually
38 at the end of each calendar year, at the time and in the manner as the
39 director prescribes, the amount of distilled spirits that is produced ~~or~~
40 ~~manufactured~~ by that licensee during the calendar year. In addition to
41 any other provision of this title, if the total amount of distilled
42 spirits that is produced ~~or manufactured~~ during the year exceeds the
43 amount that is permitted annually by the license, the licensee shall apply
44 for and, on qualification, receive a producer's license only on the
45 surrender of the craft distiller license and shall have no continuing
46 rights as a craft distiller licensee under this section.

1 C. A person may be licensed as a craft distiller to sell distilled
2 spirits that are produced ~~or manufactured~~ by the person if in a calendar
3 year the person produces or manufactures not more than twenty thousand
4 gallons of distilled spirits and may make sales and deliveries of
5 distilled spirits only as specified in this section and subject to the
6 following criteria:

7 1. A licensed craft distiller may make sales and deliveries of
8 distilled spirits to wholesalers that are licensed to sell distilled
9 spirits under this title.

10 2. A licensed craft distiller may serve distilled spirits that are
11 produced ~~or manufactured~~ on the premises for the purpose of consumption on
12 the premises and may charge for samples on the premises of the craft
13 distiller.

14 3. A licensed craft distiller may sell distilled spirits that are
15 produced ~~or manufactured~~ on the premises in the original container for
16 consumption off the premises to a consumer who is physically present on
17 the premises.

18 4. The licensed craft distiller may hold one license prescribed in
19 section 4-209, subsection B, paragraph 6 or 12 on or adjacent to the
20 licensed craft distiller premises. The licensed craft distiller shall
21 purchase all other spirituous liquor for sale at the on-sale retail
22 premises from wholesalers that are licensed in this state, except that a
23 licensed craft distiller may:

24 (a) Purchase distilled spirits from other craft distillers that are
25 licensed in this state. Sales of craft distillery products not produced
26 ~~or manufactured~~ by the craft distiller shall be limited to ~~no~~ NOT more
27 than twenty percent of the total sales by volume.

28 (b) Make deliveries of the distilled spirits that the craft
29 distiller ~~manufactures or~~ produces to any commonly controlled retail
30 licensed premises or to the craft distiller's remote tasting rooms and
31 that are authorized pursuant to this paragraph.

32 5. A licensed craft distiller that produces not more than three
33 thousand five hundred sixty-six gallons of distilled spirits in a calendar
34 year may make sales and deliveries of distilled spirits that the licensed
35 craft distiller produces to on-sale and off-sale retailers.

36 6. Notwithstanding section 4-244, paragraphs 3 and 7, an on-sale or
37 off-sale retailer may purchase and accept delivery of distilled spirits
38 from a licensed craft distiller pursuant to paragraph 5 of this
39 subsection.

40 7. A licensed craft distiller may make sales and deliveries of
41 distilled spirits that the licensed craft distiller ~~manufactures or~~
42 produces to consumers off of the licensed premises if the sale or delivery
43 is ordered by telephone, mail, fax, catalogue, the internet or by other
44 means if all of the following conditions exist:

45 (a) The purchaser of the distilled spirits provided the licensed
46 craft distiller with verification of the purchaser's legal age to purchase

1 alcohol and a copy of same is maintained in the records of the craft
2 distiller.

3 (b) The shipping container in which the distilled spirits are
4 shipped is marked to require the signature on delivery of an adult who is
5 of legal age to purchase alcohol and delivery confirmation.

6 (c) The distilled spirits are for personal use only and not for
7 resale.

8 (d) The distilled spirits are shipped to a residential or business
9 address other than a premises licensed pursuant to this title.

10 (e) The purchaser could have carried the distilled spirits lawfully
11 into or within this state.

12 (f) A person who is at least twenty-one years of age makes the
13 delivery.

14 (g) The craft distiller collects payment for the price of the
15 spirituous liquor ~~no~~ NOT later than at the time of delivery.

16 D. On application by a craft distiller licensee, the director may
17 authorize a craft distiller licensee to operate two other remote tasting
18 and retail premises if:

19 1. The distilled spirits sold at the premises are limited to
20 distilled spirits produced ~~or manufactured~~ by the licensed craft
21 distillery and distilled spirits produced ~~or manufactured~~ by another
22 licensed craft distillery. The craft distillery may sell to a consumer
23 physically present on the premises distilled spirits produced by the craft
24 distillery or by other licensed craft distilleries in the original
25 container for consumption on or off the premises. The sales of the
26 distilled spirits produced ~~or manufactured~~ by other craft distilleries
27 shall not exceed twenty percent of the craft distillery's total sales by
28 volume.

29 2. The craft distiller licensee:

30 (a) Remains responsible for the premises.

31 (b) Obtains approval for the premises from the local governing body
32 before submitting an application to the department. A copy of an order
33 from the local governing body recommending approval of the premises must
34 be filed with the department as part of the application.

35 (c) Does not sublease the premises.

36 (d) Has an agent who is a natural person who meets the
37 qualifications of licensure in this state.

38 (e) Meets the qualifications for a license pursuant to section
39 4-203, subsection A.

40 (f) For a tasting room with a shared patio, meets the requirements
41 prescribed in section 4-205.12.

42 E. A craft distiller licensee may hold a farm winery license issued
43 pursuant to section 4-205.04. The craft distiller licensee and farm
44 winery licensee are subject to all other requirements of this section and
45 section 4-205.04. The craft distiller may provide sampling and retail
46 sales of distilled spirits pursuant to subsection C, paragraphs 2 and 3 of
47 this section on the same premises as the wine sampling and retail sales.

1 F. The craft distiller is liable for any violation that is
2 committed in connection with any sale or delivery of the distilled
3 spirits. The rules adopted by the director pursuant to section 4-203,
4 subsection J apply to the delivery of distilled spirits under subsection C
5 of this section. An act or omission of any person who makes a sale or
6 delivery of distilled spirits for a licensee under subsection C of this
7 section is deemed to be an act or omission of the licensee for the
8 purposes of section 4-210, subsection A, paragraph 9.

9 G. A craft distiller that sells or delivers distilled spirits
10 pursuant to this section shall:

11 1. Pay to the department of revenue all luxury taxes that are
12 imposed pursuant to title 42, chapter 3 and all transaction privilege or
13 use taxes that are imposed pursuant to title 42, chapter 5.

14 2. File all returns or reports that are required by law.

15 H. A delivery of distilled spirits by a craft distiller to a
16 purchaser in this state is a transaction deemed to have occurred in this
17 state.

18 I. The production and storage space of the craft distiller are
19 excluded from the public area of the licensed craft distiller premises.
20 Pursuant to section 4-118, the director, the director's agents or any
21 peace officer may inspect spaces excluded by this subsection. For the
22 purposes of this subsection:

23 1. "Production and storage space" means a bonded area, tax-paid
24 storage area and area that provides no services to the public.

25 2. "Public area" means a place within a licensed and bonded craft
26 distiller that is accessible to the public and in which the craft
27 distiller sells and samples tax-paid product and authorizes the presence
28 of members of the public.

29 J. The director may adopt rules in order to administer this
30 section.

31 K. The director may charge a fee adopted pursuant to section 4-209
32 for the issuance of a license pursuant to this section.

33 L. The director may issue a craft distiller license to be located
34 on the same parcel of land as a farm winery licensed pursuant to section
35 4-205.04.

36 Sec. 9. Section 4-209, Arizona Revised Statutes, is amended to
37 read:

38 4-209. Fees for license, application, issuance, renewal and
39 transfer; late renewal penalty; seasonal operation;
40 surcharges

41 A. A fee shall accompany an application for an original license or
42 transfer of a license, or in case of renewal, shall be paid in advance.
43 Every license expires annually, except that a license may be renewed for a
44 two-year period pursuant to subsection M of this section if no compliance
45 penalties have been issued to that location during the year before the
46 renewal. A licensee who fails to renew the license on or before the due
47 date shall pay a penalty of \$150, which the licensee shall pay with the

1 renewal fee. A license renewal that is deposited, properly addressed and
2 postage prepaid in an official depository of the United States mail on or
3 before the due date shall be deemed filed and received by the department
4 on the date shown by the postmark or other official mark of the United
5 States postal service stamped on the envelope. If the due date falls on a
6 Saturday, Sunday or other legal holiday, the renewal shall be considered
7 timely if it is received by the department on the next business day. The
8 director may waive a late renewal penalty if good cause is shown by the
9 licensee. A licensee who fails to renew the license on or before the due
10 date may not sell, purchase or otherwise deal in spirituous liquor until
11 the license is renewed. A license that is not renewed within sixty days
12 after the due date is deemed terminated. The director may renew the
13 terminated license if good cause is shown by the licensee. Except an
14 application fee for a permit pursuant to section 4-203.07 and section
15 4-205.02, subsection K and leases pursuant to ~~sections 4-203.06 and~~
16 **SECTION** 4-203.07, an application fee for an original license or the
17 transfer of a license shall be \$100, which shall be retained by this
18 state.

19 B. Issuance fees for original licenses shall be:

20 1. For an in-state producer's license to ~~manufacture or~~ produce
21 spirituous liquor in this state, \$1,500.

22 2. Except as provided in paragraph 15 of this subsection, for an
23 out-of-state producer's, exporter's, importer's or rectifier's license,
24 \$200.

25 3. For a microbrewery license, \$300.

26 4. For a wholesaler's license to sell spirituous liquors, \$1,500.

27 5. For a government license issued in the name of a state agency,
28 state commission, state board, county, city, town, community college or
29 state university or the national guard, \$100.

30 6. For a bar license, which is an on-sale retailer's license to
31 sell all spirituous liquors primarily by individual portions and in the
32 original containers, \$1,500.

33 7. For a beer and wine bar license, which is an on-sale retailer's
34 license to sell beer and wine primarily by individual portions and in the
35 original containers, \$1,500.

36 8. For a conveyance license issued to an operating railroad
37 company, to sell all spirituous liquors in individual portions or in the
38 original containers on all passenger trains operated by the railroad
39 company, or to an operating airline company, to sell or serve spirituous
40 liquors solely in individual portions on all passenger planes operated by
41 the airline company, or to a boat operating in the waters of this state,
42 to sell all spirituous liquors in individual portions or in the original
43 containers for consumption on the boat, \$1,500.

44 9. For a liquor store license, which is an off-sale retailer's
45 license to sell all spirituous liquors, \$1,500.

46 10. For a beer and wine store license, which is an off-sale
47 retailer's license to sell beer and wine, \$1,500.

1 11. For a hotel-motel license issued as such, to sell and serve
2 spirituous liquors solely for consumption on the licensed premises of the
3 hotel or motel, \$1,500.

4 12. For a restaurant license issued as such, to sell and serve
5 spirituous liquors solely for consumption on the licensed premises of the
6 restaurant, \$1,500. For a permit issued under section 4-205.02,
7 subsection H allowing for the sale of beer for the consumption off the
8 licensed premises pursuant to section 4-244, paragraph 32, subdivision
9 (c), the director may charge a fee. For an application for a permit
10 pursuant to section 4-203.07 and section 4-205.02, subsection K, the
11 director may charge a fee. The director may establish and charge fees for
12 lease applications pursuant to ~~sections 4-203.06 and~~ SECTION 4-203.07.

13 13. For a farm winery license, \$100. The director may charge a
14 licensed farm winery a fee pursuant to section 4-205.04, subsection K.

15 14. For a club license issued in the name of a bona fide club
16 qualified under this title to sell all spirituous liquors on-sale, \$1,000.

17 15. For an out-of-state winery that sells not more than two hundred
18 forty gallons of wine in this state in a calendar year, \$25.

19 16. The department may charge a fee for a craft distiller license.

20 17. The department may charge a fee for registering an alcohol
21 delivery contractor pursuant to section 4-205.13.

22 C. The department may issue licenses with staggered renewal dates
23 to distribute the renewal workload as uniformly as practicable throughout
24 the twelve months of the calendar year. If a license is issued less than
25 six months before the scheduled renewal date of the license, as provided
26 by the department's staggered license renewal system, one-half of the
27 annual license fee shall be charged.

28 D. The annual fees for licenses shall be:

29 1. For an in-state producer's license to ~~manufacture or~~ produce
30 spirituous liquors in this state, \$350.

31 2. Except as provided in paragraph 15 of this subsection, for an
32 out-of-state producer's, exporter's, importer's or rectifier's license,
33 \$50.

34 3. For a microbrewery license, \$300.

35 4. For a wholesaler's license, to sell spirituous liquors, \$250.

36 5. For a government license issued to a county, city or town,
37 community college or state university or the national guard, \$100.

38 6. For a bar license, which is an on-sale retailer's license to
39 sell all spirituous liquors primarily by individual portions and in the
40 original containers, \$150.

41 7. For a beer and wine bar license, which is an on-sale retailer's
42 license to sell beer and wine primarily by individual portions and in the
43 original containers, \$75.

44 8. For a conveyance license issued to an operating railroad
45 company, to sell all spirituous liquors in individual portions or in the
46 original containers on all passenger trains operated by the railroad
47 company, or to an operating airline company, to sell or serve spirituous

1 liquors solely in individual portions on all passenger planes operated by
2 the airline company, or to a boat operating in the waters of this state,
3 to sell all spirituous liquor in individual portions or in the original
4 containers for consumption on the boat, \$225.

5 9. For a liquor store license, which is an off-sale retailer's
6 license to sell all spirituous liquors, \$50.

7 10. For a beer and wine store license, which is an off-sale
8 retailer's license to sell beer and wine, \$50.

9 11. For a hotel-motel license issued as such, to sell and serve
10 spirituous liquors solely for consumption on the licensed premises of the
11 hotel or motel, \$500.

12 12. For a restaurant license issued as such, to sell and serve
13 spirituous liquors solely for consumption on the licensed premises of the
14 restaurant, \$500, and for a restaurant license that is allowed to continue
15 operating as a restaurant pursuant to section 4-213, subsection E, an
16 additional amount established by the director. The department shall
17 transfer this amount to the state treasurer for deposit in the state
18 general fund. The director may establish an annual fee for a permit
19 pursuant to section 4-203.07 and section 4-205.02, subsection K. The
20 director may charge annual lease amounts pursuant to ~~sections 4-203.06 and~~
21 ~~SECTION~~ 4-203.07.

22 13. For a farm winery license, \$100. The director may charge a
23 licensed farm winery an annual fee pursuant to section 4-205.04,
24 subsection K.

25 14. For a club license issued in the name of a bona fide club
26 qualified under this title to sell all spirituous liquors on-sale, \$150.

27 15. For an out-of-state winery that sells not more than two hundred
28 forty gallons of wine in this state in a calendar year, \$25.

29 16. The director may charge a fee for the annual renewal of a craft
30 distiller license.

31 17. The department may charge a fee for the annual registration
32 renewal of a registered alcohol delivery contractor pursuant to section
33 4-205.13.

34 E. Where the business of an on-sale retail licensee is seasonal,
35 not extending over periods of more than six months in any calendar year,
36 the licensee may designate the periods of operation and a license may be
37 granted for those periods only, on payment of one-half of the fee
38 prescribed in subsection D of this section.

39 F. Transfer fees from person to person for licenses transferred
40 pursuant to section 4-203, subsection C shall be \$300.

41 G. Transfer fees from location to location, as provided for in
42 section 4-203, shall be \$100.

43 H. Assignment fees for a change of agent, as provided for in
44 section 4-202, subsection A, an acquisition of control, as provided for in
45 section 4-203, subsection F, or a restructuring, as provided for in
46 section 4-203, subsection H, shall be \$100, except that where a licensee
47 holds multiple licenses and requests multiple, simultaneous changes, the

1 change of agent, acquisition of control or restructuring fee for the first
2 license shall be \$100 and the fee for all remaining licenses shall be \$50
3 each, except that the aggregate fees shall not exceed \$1,000 for all
4 change of agents, \$1,000 for all acquisitions of control and \$1,000 for
5 all restructurings.

6 I. No fee shall be charged by the department for an assignment of a
7 liquor license in probate or an assignment pursuant to the provisions of a
8 will or pursuant to a judicial decree in a domestic relations proceeding
9 that assigns ownership of a business that includes a spirituous liquor
10 license to one of the parties in the proceeding. In the case of
11 nontransferable licenses, no fee shall be charged by the department for
12 the issuance of a license for a licensed business pursuant to a transfer
13 of the business in probate or pursuant to the provisions of a will or
14 pursuant to a judicial decree in a domestic relations proceeding that
15 assigns ownership of the business to one of the parties in the proceeding.

16 J. The director shall assess a surcharge of \$30 on all licenses
17 prescribed in subsection D, paragraphs 6, 7 and 12 of this section.
18 Monies from the surcharge shall be used by the department exclusively for
19 the costs of an auditor and support staff to review compliance by
20 applicants and licensees with the requirements of section 4-205.02,
21 subsection E. The department shall assess the surcharge as part of the
22 annual license renewal fee.

23 K. The director shall assess a surcharge of \$35 on all licenses
24 prescribed in this section. Monies from the surcharge shall be used by
25 the department exclusively for the costs of an enforcement program to
26 investigate licensees who have been the subject of multiple complaints to
27 the department. The enforcement program shall respond to complaints
28 against licensees by neighborhood associations, by neighborhood civic
29 groups and from municipal and county governments. The department shall
30 assess the surcharge as part of the annual license renewal fee.

31 L. The director shall assess a surcharge of \$20 on all licenses
32 prescribed in subsection D, paragraphs 11 and 12 of this section and \$35
33 on all other licenses prescribed in this section. Monies from the
34 surcharge and from surcharges imposed pursuant to subsection K of this
35 section shall be used by the department exclusively for the costs of a
36 neighborhood association interaction and liquor enforcement management
37 unit. The unit shall respond to complaints from neighborhood
38 associations, neighborhood civic groups and local governing authorities
39 regarding liquor violations. The director shall report the unit's
40 activities and the use of monies from the surcharge or surcharges imposed
41 pursuant to subsection K of this section to the board at each board
42 meeting or as the board may direct.

1 M. Licenses may be renewed every two years with payment of license
2 fees that are twice the amount designated in subsection D of this section
3 and other applicable fees. Licensees renewing every two years must comply
4 with annual reporting requirements. The director may adopt reasonable
5 rules to allow licensees to renew every two years.

6 N. The department shall use all monies received from application
7 fees for permits issued pursuant to section 4-205.02, subsection K, leases
8 pursuant to ~~sections 4-203.06 and~~ SECTION 4-203.07 and registrations
9 pursuant to section 4-205.13 for administrative costs associated with the
10 permit, registration or lease and enforcement of this chapter.

11 Sec. 10. Section 4-212, Arizona Revised Statutes, is amended to
12 read:

13 4-212. Injunctions

14 If the board or the director has reasonable grounds to believe that
15 a person is violating section 4-244.05 or 4-250.01 or is ~~manufacturing~~
16 PRODUCING, selling or dealing in spirituous liquor without a valid
17 license, permit or registration in violation of this title, the board or
18 the director may apply to the superior court for a temporary restraining
19 order and other injunctive relief prohibiting the specific acts complained
20 of by the board or the director.

21 Sec. 11. Section 4-214, Arizona Revised Statutes, is amended to
22 read:

23 4-214. Arizona wines; labeling

24 A. ~~A person licensed as~~ A farm winery LICENSED pursuant to section
25 4-205.04 or ~~licensed as~~ a producer LICENSED pursuant to section 4-203 may
26 label a wine offered for sale that states that the wine is any of the
27 following:

28 1. An Arizona wine or a wine from a particular county in this
29 state, if at least seventy-five percent of the wine by volume is produced
30 ~~or manufactured~~ from grapes or other fruit grown in this state and is
31 fermented, processed, bottled and labeled in this state.

32 2. A wine from a particular federally recognized viticultural area,
33 if at least eighty-five percent of the wine by volume is produced ~~or~~
34 ~~manufactured~~ from grapes or other fruit grown WITHIN A FEDERALLY
35 RECOGNIZED VITICULTURAL AREA THAT IS LOCATED in this state and is
36 fermented, processed, bottled and labeled in this state.

37 3. A wine from a particular vineyard, orchard, farm or ranch, if at
38 least ninety-five percent of the wine by volume is produced ~~or~~
39 ~~manufactured~~ from grapes or other fruit grown in this state and is
40 fermented, processed, bottled and labeled in this state.

41 4. Estate bottled, if one hundred percent of the wine by volume is
42 produced ~~or manufactured~~ from a winery in a particular federally
43 recognized viticultural area in which all grapes or other fruit were
44 grown, crushed, fermented, processed, aged and bottled in a continuous
45 process, the wine at no time having left the premises of the bottling
46 winery.

1 B. A licensee that complies with subsection A of this section is
2 not subject to criminal, civil or administrative action for a violation of
3 section 4-244, paragraph 39.

4 Sec. 12. Section 4-221, Arizona Revised Statutes, is amended to
5 read:

6 4-221. Registration of stills; forfeiture; sale; proceeds

7 A. Every person having in ~~his~~ THE PERSON'S possession or custody or
8 under ~~his~~ THE PERSON'S control a still or distilling apparatus shall
9 register it with the director under the rules the director may prescribe,
10 and every still or distilling apparatus not so registered, together with
11 all mash, wort or wash, for distillation or for the production of spirits
12 or alcohol, and all finished products, together with all personal property
13 in the possession or custody of, or under the control of any person, ~~which~~
14 THAT may be used in the ~~manufacture~~ PRODUCTION or transportation of
15 spirituous liquors, and ~~which~~ THAT is found in the building or in any yard
16 or enclosure connected with the building in which the unregistered still
17 or distilling apparatus is located, shall be forfeited to ~~the~~ THIS state.

18 B. The still, distilling apparatus, mash, wort, wash or finished
19 products shall forthwith be destroyed by any peace officer, and all
20 personal property forfeited to the state shall be sold at public auction
21 to the highest bidder for cash on five days' notice.

22 C. The notice shall be posted at the courthouse in the county in
23 which the personal property was seized or at the office of the director
24 and shall be published in a newspaper of general circulation THAT IS
25 published in this state ~~which~~ AND THAT is nearest to the place where the
26 personal property was seized. After paying the expenses of the
27 publication and the expenses of sale from the proceeds of the sale, any
28 balance shall be paid into the STATE general fund ~~of the state~~.

29 Sec. 13. Section 4-222, Arizona Revised Statutes, is amended to
30 read:

31 4-222. Registration of retail agents; fees

32 A. Every person who holds a bar, beer and wine bar, liquor store,
33 beer and wine store, club, hotel-motel or restaurant license and who is
34 authorized by other similarly licensed retailers to act as their retail
35 agent shall register with the director. Such registration shall be in
36 accordance with the rules adopted by the director pursuant to section
37 4-112 and shall also include a listing of the names and business addresses
38 of those similarly licensed retailers who have authorized ~~him~~ THE PERSON
39 to act as their retail agent. While possessing a certificate of
40 registration, a retail agent shall be entitled to purchase and shall
41 accept delivery of spirituous liquors for which ~~he~~ THE RETAIL AGENT is
42 licensed for and on behalf of ~~himself~~ THE RETAIL AGENT and those similarly
43 licensed retailers who have authorized ~~him~~ THE RETAIL AGENT to act as
44 their retail agent with the delivery to be made at the retail agent's
45 licensed premises or other location authorized by the department. On the
46 termination of such authorization by any retailer, the retail agent shall
47 promptly notify the director. ~~Nothing in~~ This section ~~shall~~ DOES NOT

1 require a wholesaler to sell malt beverages to a registered retail agent
2 for distribution to other retailers.

3 B. A fee of ~~five dollars~~ \$5 shall be collected for each registered
4 retailer in this state, and a fee of ~~fifty dollars~~ \$50 for each registered
5 agent for a distillery, winery, brewery, importer or broker having its
6 place of ~~manufacture~~ PRODUCTION or business outside of ~~the~~ THIS state.

7 C. The director shall issue a certificate of registration to each
8 person so registered as provided in this section, and may, for good cause
9 shown, cancel any certificate of registration so issued.

10 Sec. 14. Section 4-223, Arizona Revised Statutes, is amended to
11 read:

12 4-223. Authority of cities and towns to tax transactions
13 involving spirituous liquors; prohibitions

14 A. In addition to the taxes provided for in this chapter,
15 incorporated cities and towns ~~shall have the power to~~ MAY levy a tax on
16 the privilege of engaging or continuing in the business of selling
17 spirituous liquor at retail within their corporate limits and ~~to~~ MAY
18 impose a permit tax or fee, but this section ~~shall~~ DOES not apply to
19 wholesalers licensed under section 4-209.

20 B. This section ~~shall~~ DOES not ~~be construed to~~ give to incorporated
21 cities and towns power to prohibit the ~~manufacture~~ PRODUCTION, sale,
22 distribution, and disposal of intoxicating liquors.

23 Sec. 15. Repeal

24 Section 4-225, Arizona Revised Statutes, is repealed.

25 Sec. 16. Section 4-226, Arizona Revised Statutes, is amended to
26 read:

27 4-226. Exemptions

28 This title does not apply to the following:

29 1. Drugstores selling spirituous liquors only on prescription.

30 2. Any confectionery candy containing less than five percent by
31 weight of alcohol.

32 3. Ethyl alcohol intended for use or used for the following
33 purposes:

34 (a) Scientific, chemical, mechanical, industrial and medicinal
35 purposes. For the purposes of this ~~paragraph~~ SUBDIVISION, medicinal
36 purposes do not include ethyl alcohol or spirituous liquor that contains
37 marijuana or usable marijuana as defined in section 36-2801.

38 (b) By those authorized to procure spirituous liquor or ethyl
39 alcohol tax-free, as provided by the acts of Congress and regulations
40 promulgated under the acts of Congress.

41 (c) In the manufacture of denatured alcohol produced and used as
42 provided by the acts of Congress and regulations promulgated under the
43 acts of Congress.

44 (d) In the manufacture of patented, patent, proprietary, medicinal,
45 pharmaceutical, antiseptic, toilet, scientific, chemical, mechanical and
46 industrial preparations or products, unfit and not used for beverage
47 purposes.

1 (e) In the manufacture of flavoring extracts and syrups unfit for
2 beverage purposes.

3 4. The purchase, storage, distribution, service or consumption of
4 wine in connection with the bona fide practice of a religious belief or as
5 an integral part of a religious exercise by a church recognized by the
6 United States internal revenue service under section 501(c)(3) of the
7 internal revenue code and in a manner not dangerous to public health or
8 safety. This exemption does not apply to any alleged violation of section
9 4-244, paragraph 9, 34, 35 or 41.

10 5. Beer or wine produced for personal or family use that is not for
11 sale. The beer or wine may be removed from the premises where it was made
12 and exhibited at organized affairs, exhibitions or competitions, such as
13 homebrewers' or home winemakers' contests, tasting or judging.

14 6. The manufacture or sale of bitters products that have been
15 classified and approved as a nonbeverage product or unfit for beverage
16 purposes by the United States alcohol and tobacco tax and trade bureau.
17 This paragraph is consistent with the classification guidelines as
18 established and administered by the United States alcohol and tobacco tax
19 and trade bureau.

20 7. NONBEVERAGE PRODUCTS AS DEFINED IN 27 CODE OF FEDERAL
21 REGULATIONS PART 17 AND THAT ARE QUALIFIED BY THE UNITED STATES ALCOHOL
22 AND TOBACCO TAX AND TRADE BUREAU AS NONBEVERAGE PRODUCTS.

23 Sec. 17. Section 4-244, Arizona Revised Statutes, is amended to
24 read:

25 4-244. Unlawful acts; definition

26 It is unlawful:

27 1. For a person to buy for resale, sell or deal in spirituous
28 liquors in this state without first having procured a license duly issued
29 by the board, except that the director may issue a temporary permit of any
30 series pursuant to section 4-205.05 to a trustee in bankruptcy to acquire
31 and dispose of the spirituous liquor of a debtor.

32 2. For a person to sell or deal in alcohol for beverage purposes
33 without first complying with this title.

34 3. For a distiller, vintner, brewer or wholesaler knowingly to
35 sell, dispose of or give spirituous liquor to any person other than a
36 licensee except in sampling wares as may be necessary in the ordinary
37 course of business, except in donating spirituous liquor to a nonprofit
38 organization that has obtained a special event license for the purpose of
39 charitable fundraising activities or except in donating spirituous liquor
40 with a cost to the distiller, brewer or wholesaler of up to \$500 in a
41 calendar year to an organization that is exempt from federal income taxes
42 under section 501(c) (3), (4), (6) or (7) of the internal revenue code and
43 not licensed under this title.

44 4. For a distiller, vintner or brewer to require a wholesaler to
45 offer or grant a discount to a retailer, unless the discount has also been
46 offered and granted to the wholesaler by the distiller, vintner or brewer.

1 5. For a distiller, vintner or brewer to use a vehicle for trucking
2 or transporting spirituous liquors unless there is affixed to both sides
3 of the vehicle a sign showing the name and address of the licensee and the
4 type and number of the person's license in letters not less than three and
5 one-half inches in height.

6 6. For a person to take or solicit orders for spirituous liquors
7 unless the person is a salesman or solicitor of a licensed wholesaler, a
8 salesman or solicitor of a distiller, brewer, vintner, importer or broker
9 or a registered retail agent.

10 7. For any retail licensee to purchase spirituous liquors from any
11 person other than a solicitor or salesman of a wholesaler licensed in this
12 state.

13 8. For a retailer to acquire an interest in property owned,
14 occupied or used by a wholesaler in the wholesaler's business, or in a
15 license with respect to the premises of the wholesaler.

16 9. Except as provided in paragraphs 10 and 11 of this section, for
17 a licensee or other person to sell, furnish, dispose of or give, or cause
18 to be sold, furnished, disposed of or given, to a person under the legal
19 drinking age or for a person under the legal drinking age to buy, receive,
20 have in the person's possession or consume spirituous liquor. This
21 paragraph does not prohibit the employment by an off-sale retailer of
22 persons who are at least sixteen years of age to check out, if supervised
23 by a person on the premises who is at least eighteen years of age, package
24 or carry merchandise, including spirituous liquor, in unbroken packages,
25 for the convenience of the customer of the employer, if the employer sells
26 primarily merchandise other than spirituous liquor.

27 10. For a licensee to employ a person under eighteen years of age
28 to ~~manufacture~~, sell or dispose of spirituous liquors. This paragraph
29 does not prohibit the employment by an off-sale retailer of persons who
30 are at least sixteen years of age to check out, if supervised by a person
31 on the premises who is at least eighteen years of age, package or carry
32 merchandise, including spirituous liquor, in unbroken packages, for the
33 convenience of the customer of the employer, if the employer sells
34 primarily merchandise other than spirituous liquor.

35 11. For an on-sale retailer to employ a person under eighteen years
36 of age in any capacity connected with the handling of spirituous liquors.
37 This paragraph does not prohibit the employment by an on-sale retailer of
38 a person under eighteen years of age who cleans up the tables on the
39 premises for reuse, removes dirty dishes, keeps a ready supply of needed
40 items and helps clean up the premises.

41 12. For a licensee, when engaged in waiting on or serving
42 customers, to consume spirituous liquor or for a licensee or on-duty
43 employee to be on or about the licensed premises while in an intoxicated
44 or disorderly condition.

45 13. For an employee of a retail licensee, during that employee's
46 working hours or in connection with such employment, to give to or

1 purchase for any other person, accept a gift of, purchase for the employee
2 or consume spirituous liquor, except that:

3 (a) An employee of a licensee, during that employee's working hours
4 or in connection with the employment, while the employee is not engaged in
5 waiting on or serving customers, may give spirituous liquor to or purchase
6 spirituous liquor for any other person.

7 (b) An employee of an on-sale retail licensee, during that
8 employee's working hours or in connection with the employment, while the
9 employee is not engaged in waiting on or serving customers, may taste
10 samples of beer or wine of not more than four ounces per day or distilled
11 spirits of not more than two ounces per day provided by an employee of a
12 wholesaler or distributor who is present at the time of the sampling.

13 (c) An employee of an on-sale retail licensee, under the
14 supervision of a manager as part of the employee's training and education,
15 while not engaged in waiting on or serving customers may taste samples of
16 distilled spirits of not more than two ounces per educational session or
17 beer or wine of not more than four ounces per educational session, and
18 provided that a licensee does not have more than two educational sessions
19 in any thirty-day period.

20 (d) An unpaid volunteer who is a bona fide member of a club and who
21 is not engaged in waiting on or serving spirituous liquor to customers may
22 purchase for himself and consume spirituous liquor while participating in
23 a scheduled event at the club. An unpaid participant in a food
24 competition may purchase for himself and consume spirituous liquor while
25 participating in the food competition.

26 (e) An unpaid volunteer of a special event licensee under section
27 4-203.02 may purchase and consume spirituous liquor while not engaged in
28 waiting on or serving spirituous liquor to customers at the special event.
29 This subdivision does not apply to an unpaid volunteer whose
30 responsibilities include verification of a person's legal drinking age,
31 security or the operation of any vehicle or heavy machinery.

32 (f) A representative of a producer or wholesaler participating at a
33 special event under section 4-203.02 may consume small amounts of the
34 products of the producer or wholesaler on the premises of the special
35 event for the purpose of quality control.

36 14. For a licensee or other person to serve, sell or furnish
37 spirituous liquor to a disorderly or obviously intoxicated person, or for
38 a licensee or employee of the licensee to allow a disorderly or obviously
39 intoxicated person to come into or remain on or about the premises, except
40 that a licensee or an employee of the licensee may allow an obviously
41 intoxicated person to remain on the premises for not more than thirty
42 minutes after the state of obvious intoxication is known or should be
43 known to the licensee for a nonintoxicated person to transport the
44 obviously intoxicated person from the premises. For the purposes of this
45 section, "obviously intoxicated" means inebriated to the extent that a
46 person's physical faculties are substantially impaired and the impairment

1 is shown by significantly uncoordinated physical action or significant
2 physical dysfunction that would have been obvious to a reasonable person.

3 15. For an on-sale or off-sale retailer or an employee of such
4 retailer or an alcohol delivery contractor to sell, dispose of, deliver or
5 give spirituous liquor to a person between the hours of 2:00 a.m. and
6 6:00 a.m., except that:

7 (a) A retailer with off-sale privileges may receive and process
8 orders, accept payment or package, load or otherwise prepare spirituous
9 liquor for delivery at any time, if the actual deliveries to customers are
10 made between the hours of 6:00 a.m. and 2:00 a.m., at which time section
11 4-241, subsections A and K apply.

12 (b) The governor, in consultation with the governor's office of
13 highway safety and the public safety community in this state, may issue an
14 executive order that extends the closing time until 3:00 a.m. for
15 spirituous liquor sales in connection with a professional or collegiate
16 national sporting championship event held in this state.

17 16. For a licensee or employee to knowingly allow any person on or
18 about the licensed premises to give or furnish any spirituous liquor to
19 any person under twenty-one years of age or knowingly allow any person
20 under twenty-one years of age to have in the person's possession
21 spirituous liquor on the licensed premises.

22 17. For an on-sale retailer or an employee of such retailer to
23 allow a person to consume or possess spirituous liquors on the premises
24 between the hours of 2:30 a.m. and 6:00 a.m., except that if the governor
25 extends the closing time for a day for spirituous liquor sales pursuant to
26 paragraph 15 of this section it is unlawful for an on-sale retailer or an
27 employee of such retailer on that day to allow a person to consume or
28 possess spirituous liquor on the premises between the hours of 3:30 a.m.
29 and 6:00 a.m.

30 18. For an on-sale retailer to allow an employee or for an employee
31 to solicit or encourage others, directly or indirectly, to buy the
32 employee drinks or anything of value in the licensed premises during the
33 employee's working hours. An on-sale retailer shall not serve employees
34 or allow a patron of the establishment to give spirituous liquor to,
35 purchase liquor for or drink liquor with any employee during the
36 employee's working hours.

37 19. For an off-sale retailer or employee to sell spirituous liquor
38 except in the original unbroken container, to allow spirituous liquor to
39 be consumed on the premises or to knowingly allow spirituous liquor to be
40 consumed on adjacent property under the licensee's exclusive control.

41 20. For a person to consume spirituous liquor in a public place,
42 thoroughfare or gathering. The license of a licensee allowing a violation
43 of this paragraph on the premises shall be subject to revocation. This
44 paragraph does not apply to the sale of spirituous liquors on the premises
45 of and by an on-sale retailer. This paragraph also does not apply to a
46 person consuming beer or wine from a broken package in a public recreation
47 area or on private property with permission of the owner or lessor or on

1 the walkways surrounding such private property or to a person consuming
2 beer or wine from a broken package in a public recreation area as part of
3 a special event or festival that is conducted under a license secured
4 pursuant to section 4-203.02 or 4-203.03.

5 21. For a person to possess or to transport spirituous liquor that
6 is ~~manufactured~~ PRODUCED in a distillery, winery, brewery or rectifying
7 plant contrary to the laws of the United States and this state. Any
8 property used in transporting such spirituous liquor shall be forfeited to
9 the state and shall be seized and disposed of as provided in section
10 4-221.

11 22. For an on-sale retailer or employee to allow a person under the
12 legal drinking age to remain in an area on the licensed premises during
13 those hours in which its primary use is the sale, dispensing or
14 consumption of alcoholic beverages after the licensee, or the licensee's
15 employees, know or should have known that the person is under the legal
16 drinking age. An on-sale retailer may designate an area of the licensed
17 premises as an area in which spirituous liquor will not be sold or
18 consumed for the purpose of allowing underage persons on the premises if
19 the designated area is separated by a physical barrier and at no time will
20 underage persons have access to the area in which spirituous liquor is
21 sold or consumed. A licensee or an employee of a licensee may require a
22 person who intends to enter a licensed premises or a portion of a licensed
23 premises where persons under the legal drinking age are prohibited under
24 this section to exhibit an instrument of identification that is acceptable
25 under section 4-241 as a condition of entry or may use a biometric
26 identity verification device to determine the person's age as a condition
27 of entry. The director, or a municipality, may adopt rules to regulate
28 the presence of underage persons on licensed premises provided the rules
29 adopted by a municipality are more stringent than those adopted by the
30 director. The rules adopted by the municipality shall be adopted by local
31 ordinance and shall not interfere with the licensee's ability to comply
32 with this paragraph. This paragraph does not apply:

33 (a) If the person under the legal drinking age is accompanied by a
34 spouse, parent, grandparent or legal guardian of legal drinking age or is
35 an on-duty employee of the licensee.

36 (b) If the owner, lessee or occupant of the premises is a club as
37 defined in section 4-101, paragraph ~~8~~ 9, subdivision (a) and the person
38 under the legal drinking age is any of the following:

39 (i) An active duty military service member.

40 (ii) A veteran.

41 (iii) A member of the United States army national guard or the
42 United States air national guard.

43 (iv) A member of the United States military reserve forces.

44 (c) To the area of the premises used primarily for serving food
45 during the hours when food is served.

46 23. For an on-sale retailer or employee to conduct drinking
47 contests, to sell or deliver to a person an unlimited number of spirituous

1 liquor beverages during any set period of time for a fixed price, to
2 deliver more than fifty ounces of beer, one liter of wine or four ounces
3 of distilled spirits in any spirituous liquor drink to one person at one
4 time for that person's consumption or to advertise any practice prohibited
5 by this paragraph. This paragraph does not prohibit an on-sale retailer
6 or employee from selling and delivering an opened, original container of
7 distilled spirits if:

8 (a) Service or pouring of the spirituous liquor is provided by an
9 employee of the on-sale retailer. A licensee shall not be charged for a
10 violation of this paragraph if a customer, without the knowledge of the
11 retailer, removes or tampers with a locking device on a bottle delivered
12 to the customer for bottle service and the customer pours the customer's
13 own drink from the bottle, if when the licensee becomes aware of the
14 removal or tampering of the locking device the licensee immediately
15 installs a functioning locking device on the bottle or removes the bottle
16 and lock from bottle service.

17 (b) The employee of the on-sale retailer monitors consumption to
18 ensure compliance with this paragraph. Locking devices may be used, but
19 are not required.

20 24. For a licensee or employee to knowingly allow the unlawful
21 possession, use, sale or offer for sale of narcotics, dangerous drugs or
22 marijuana on the premises. For the purposes of this paragraph, "dangerous
23 drug" has the same meaning prescribed in section 13-3401.

24 25. For a licensee or employee to knowingly allow prostitution or
25 the solicitation of prostitution on the premises.

26 26. For a licensee or employee to knowingly allow unlawful gambling
27 on the premises.

28 27. For a licensee or employee to knowingly allow trafficking or
29 attempted trafficking in stolen property on the premises.

30 28. For a licensee or employee to fail or refuse to make the
31 premises or records available for inspection and examination as provided
32 in this title or to comply with a lawful subpoena issued under this title.

33 29. For any person other than a peace officer while on duty or off
34 duty or a member of a sheriff's volunteer posse while on duty who has
35 received firearms training that is approved by the Arizona peace officer
36 standards and training board, a retired peace officer as defined in
37 section 38-1113 or an honorably retired law enforcement officer who has
38 been issued a certificate of firearms proficiency pursuant to section
39 13-3112, subsection T, the licensee or an employee of the licensee acting
40 with the permission of the licensee to be in possession of a firearm while
41 on the licensed premises of an on-sale retailer. This paragraph does not
42 include a situation in which a person is on licensed premises for a
43 limited time in order to seek emergency aid and such person does not buy,
44 receive, consume or possess spirituous liquor. This paragraph does not
45 apply to:

46 (a) Hotel or motel guest room accommodations.

1 (b) Exhibiting or displaying a firearm in conjunction with a
2 meeting, show, class or similar event.

3 (c) A person with a permit issued pursuant to section 13-3112 who
4 carries a concealed handgun on the licensed premises of any on-sale
5 retailer that has not posted a notice pursuant to section 4-229.

6 30. For a licensee or employee to knowingly allow a person in
7 possession of a firearm other than a peace officer while on duty or off
8 duty or a member of a sheriff's volunteer posse while on duty who has
9 received firearms training that is approved by the Arizona peace officer
10 standards and training board, a retired peace officer as defined in
11 section 38-1113 or an honorably retired law enforcement officer who has
12 been issued a certificate of firearms proficiency pursuant to section
13 13-3112, subsection T, the licensee or an employee of the licensee acting
14 with the permission of the licensee to remain on the licensed premises or
15 to serve, sell or furnish spirituous liquor to a person in possession of a
16 firearm while on the licensed premises of an on-sale retailer. It is a
17 defense to action under this paragraph if the licensee or employee
18 requested assistance of a peace officer to remove such person. This
19 paragraph does not apply to:

20 (a) Hotel or motel guest room accommodations.

21 (b) Exhibiting or displaying a firearm in conjunction with a
22 meeting, show, class or similar event.

23 (c) A person with a permit issued pursuant to section 13-3112 who
24 carries a concealed handgun on the licensed premises of any on-sale
25 retailer that has not posted a notice pursuant to section 4-229.

26 31. For any person in possession of a firearm while on the licensed
27 premises of an on-sale retailer to consume spirituous liquor. This
28 paragraph does not prohibit the consumption of small amounts of spirituous
29 liquor by an undercover peace officer on assignment to investigate the
30 licensed establishment.

31 32. For a licensee or employee to knowingly allow spirituous liquor
32 to be removed from the licensed premises, except in the original unbroken
33 package. This paragraph does not apply to any of the following:

34 (a) A person who removes a bottle of wine that has been partially
35 consumed in conjunction with a purchased meal from licensed premises if a
36 cork is inserted flush with the top of the bottle or the bottle is
37 otherwise securely closed.

38 (b) A person who is in licensed premises that have noncontiguous
39 portions that are separated by a public or private walkway or driveway and
40 who takes spirituous liquor from one portion of the licensed premises
41 across the public or private walkway or driveway directly to the other
42 portion of the licensed premises.

43 (c) A licensee of a bar, beer and wine bar, liquor store, beer and
44 wine store, microbrewery or restaurant that has a permit pursuant to
45 section 4-205.02, subsection H that dispenses beer only in a clean
46 container composed of a material approved by a national sanitation

1 organization with a maximum capacity that does not exceed one gallon and
2 not for consumption on the premises if:

3 (i) The licensee or the licensee's employee fills the container at
4 the tap at the time of sale.

5 (ii) The container is sealed and displays a government warning
6 label.

7 (d) A bar or liquor store licensee that prepares a mixed cocktail
8 or a restaurant licensee that ~~feases the privilege to sell mixed cocktails~~
9 ~~for consumption off the licensed premises pursuant to section 4-203.06 or~~
10 holds a permit pursuant to section 4-203.07 and section 4-205.02,
11 subsection K and that prepares a mixed cocktail and transfers it to a
12 clean container composed of a material approved by a national sanitation
13 organization with a maximum capacity that does not exceed thirty-two
14 ounces and not for consumption on the premises if all of the following
15 apply:

16 (i) The licensee or licensee's employee fills the container with
17 the mixed cocktail on the licensed premises of the bar, liquor store or
18 restaurant.

19 (ii) The container is tamperproof sealed by the licensee or the
20 licensee's employee and displays a government warning label.

21 (iii) The container clearly displays the bar's, liquor store's or
22 restaurant's logo or name.

23 (iv) For a restaurant licensee licensed pursuant to section
24 4-205.02, the sale of mixed cocktails for consumption off the licensed
25 premises is accompanied by the sale of menu food items for consumption on
26 or off the licensed premises.

27 33. For a person who is obviously intoxicated to buy or attempt to
28 buy spirituous liquor from a licensee or employee of a licensee or to
29 consume spirituous liquor on licensed premises.

30 34. For a person who is under twenty-one years of age to drive or
31 be in physical control of a motor vehicle while there is any spirituous
32 liquor in the person's body.

33 35. For a person who is under twenty-one years of age to operate or
34 be in physical control of a motorized watercraft that is underway while
35 there is any spirituous liquor in the person's body. For the purposes of
36 this paragraph, "underway" has the same meaning prescribed in section
37 5-301.

38 36. For a licensee, manager, employee or controlling person to
39 purposely induce a voter, by means of alcohol, to vote or abstain from
40 voting for or against a particular candidate or issue on an election day.

41 37. For a licensee to fail to report an occurrence of an act of
42 violence to either the department or a law enforcement agency.

43 38. For a licensee to use a vending machine for the purpose of
44 dispensing spirituous liquor.

1 39. For a licensee to offer for sale a wine carrying a label
2 including a reference to Arizona or any Arizona city, town or geographic
3 location unless at least seventy-five percent by volume of the grapes used
4 in making the wine were grown in Arizona.

5 40. For a retailer to knowingly allow a customer to bring
6 spirituous liquor onto the licensed premises, except that an on-sale
7 retailer may allow a wine and food club to bring wine onto the premises
8 for consumption by the club's members and guests of the club's members in
9 conjunction with meals purchased at a meeting of the club that is
10 conducted on the premises and that at least seven members attend. An
11 on-sale retailer that allows wine and food clubs to bring wine onto its
12 premises under this paragraph shall comply with all applicable provisions
13 of this title and any rules adopted pursuant to this title to the same
14 extent as if the on-sale retailer had sold the wine to the members of the
15 club and their guests. For the purposes of this paragraph, "wine and food
16 club" means an association that has more than twenty bona fide members
17 paying at least \$6 per year in dues and that has been in existence for at
18 least one year.

19 41. For a person who is under twenty-one years of age to have in
20 the person's body any spirituous liquor. In a prosecution for a violation
21 of this paragraph:

22 (a) Pursuant to section 4-249, it is a defense that the spirituous
23 liquor was consumed in connection with the bona fide practice of a
24 religious belief or as an integral part of a religious exercise and in a
25 manner not dangerous to public health or safety.

26 (b) Pursuant to section 4-226, it is a defense that the spirituous
27 liquor was consumed for a bona fide medicinal purpose and in a manner not
28 dangerous to public health or safety.

29 42. For an employee of a licensee to accept any gratuity,
30 compensation, remuneration or consideration of any kind to either:

31 (a) Allow a person who is under twenty-one years of age to enter
32 any portion of the premises where that person is prohibited from entering
33 pursuant to paragraph 22 of this section.

34 (b) Sell, furnish, dispose of or give spirituous liquor to a person
35 who is under twenty-one years of age.

36 43. For a person to purchase, offer for sale or use any device,
37 machine or process that mixes spirituous liquor with pure oxygen or
38 another gas to produce a vaporized product for the purpose of consumption
39 by inhalation or to allow patrons to use any item for the consumption of
40 vaporized spirituous liquor.

41 44. For a retail licensee or an employee of a retail licensee to
42 sell spirituous liquor to a person if the retail licensee or employee
43 knows the person intends to resell the spirituous liquor.

1 45. Except as authorized by paragraph 32, subdivision (c) of this
2 section, for a person to reuse a bottle or other container authorized for
3 use by the laws of the United States or any agency of the United States
4 for the packaging of distilled spirits or for a person to increase the
5 original contents or a portion of the original contents remaining in a
6 liquor bottle or other authorized container by adding any substance.

7 46. For a direct shipment licensee, a farm winery licensee or an
8 employee of those licensees to sell, dispose of, deliver or give
9 spirituous liquor to an individual purchaser between the hours of
10 2:00 a.m. and 6:00 a.m., except that a direct shipment licensee or a farm
11 winery licensee may receive and process orders, accept payment, package,
12 load or otherwise prepare wine for delivery at any time without complying
13 with section 4-241, subsections A and K, if the actual deliveries to
14 individual purchasers are made between the hours of 6:00 a.m. and
15 2:00 a.m. and in accordance with section 4-203.04 for direct shipment
16 licensees and section 4-205.04 for farm winery licensees.

17 47. For a supplier to coerce or attempt to coerce a wholesaler to
18 accept delivery of beer or any other commodity that has not been ordered
19 by the wholesaler or for which the order was canceled. A supplier may
20 impose reasonable inventory requirements on a wholesaler if the
21 requirements are made in good faith and are generally applied to other
22 similarly situated wholesalers that have an agreement with the supplier.

23 Sec. 18. Section 42-3001, Arizona Revised Statutes, is amended to
24 read:

25 42-3001. Definitions

26 In this chapter, unless the context otherwise requires:

27 1. "Affix" and "affixed" include imprinting tax meter stamps on
28 packages and individual containers as authorized by the department.

29 2. "BEER" HAS THE SAME MEANING PRESCRIBED IN SECTION 4-101.

30 ~~3.~~ 3. "Brand family" has the same meaning prescribed in section
31 44-7111.

32 ~~4.~~ 4. "Cavendish" means a tobacco product that is smoked from a
33 pipe and that meets one of the following criteria:

34 (a) Is described as cavendish, as containing cavendish or as a
35 cavendish blend on its packaging, labeling or promotional materials.

36 (b) Appears to have been processed or manufactured with an amount
37 of flavorings and humectants that exceeds twenty percent of the weight of
38 the tobacco contained in the product.

39 (c) Appears to be blended with or contain a tobacco product
40 described in subdivision (b) of this paragraph.

41 ~~4.~~ 5. "Cider" means vinous liquor that is made from the normal
42 alcoholic fermentation of the juice of sound, ripe apples, pears or other
43 pome fruit, including flavored, sparkling and carbonated cider and cider
44 made from condensed apple, pear or other pome fruit must, and that
45 contains more than one-half of one percent of alcohol by volume but not
46 more than seven percent of alcohol by volume. HAS THE SAME MEANING
47 PRESCRIBED IN SECTION 4-101.

1 ~~5.~~ 6. "Cigar" means any roll of tobacco wrapped in leaf tobacco or
2 in any substance containing tobacco other than any roll of tobacco that is
3 a cigarette, as defined in paragraph ~~6~~ 7, subdivision (b) of this
4 section.

5 ~~6.~~ 7. "Cigarette" means either of the following:

6 (a) Any roll of tobacco wrapped in paper or any substance not
7 containing tobacco.

8 (b) Any roll of tobacco wrapped in any substance containing tobacco
9 that, because of its appearance, the type of tobacco used in the filler or
10 its packaging and labeling, is likely to be offered to or purchased by a
11 consumer as a cigarette described in subdivision (a) of this paragraph.
12 This subdivision shall be interpreted consistently with the classification
13 guidelines established by the federal alcohol and tobacco tax and trade
14 bureau.

15 ~~7.~~ 8. "Consumer" means a person in this state that comes into
16 possession of any luxury subject to the tax imposed by this chapter and
17 that, on coming into possession of the luxury, is not a distributor
18 intending to sell or distribute the luxury, a retailer or a wholesaler.

19 ~~8.~~ 9. "Craft distiller" ~~means a distiller in the United States or~~
20 ~~in a territory or possession of the United States that holds a license~~
21 ~~pursuant to section 4-205.10.~~ HAS THE SAME MEANING PRESCRIBED IN SECTION
22 4-101.

23 ~~9.~~ 10. "Distributor" means any person that manufactures, produces,
24 ships, transports or imports into this state or in any manner acquires or
25 possesses for the purpose of making the first sale of the following:

26 (a) Cigarettes without Arizona tax stamps affixed as required by
27 this article.

28 (b) Roll-your-own tobacco or other tobacco products on which the
29 taxes have not been paid as required by this chapter.

30 ~~10.~~ 11. "Farm winery" has the same meaning prescribed in section
31 4-101.

32 ~~11.~~ 12. "First sale" means the initial sale or distribution in
33 intrastate commerce or the initial use or consumption of cigarettes,
34 roll-your-own tobacco or other tobacco products.

35 ~~12.~~ 13. "Luxury" means any article, object or device on which a
36 tax is imposed under this chapter.

37 ~~13.~~ 14. "Malt liquor":

38 ~~means any liquid that contains more than one-half of one percent alcohol~~
39 ~~by volume and that is made by the process of fermentation and not~~
40 ~~distillation of hops or grains, but not including:~~

41 ~~(a) Liquids made by the process of distillation of such substances.~~

42 ~~(b) Medicines that are unsuitable for beverage purposes.~~

43 (a) MEANS ANY BEVERAGE THAT IS OBTAINED BY THE ALCOHOLIC
44 FERMENTATION, INFUSION OR DECOCTION OF BARLEY MALT, HOPS, RICE, BRAN OR
45 OTHER GRAIN, GLUCOSE, SUGAR OR MOLASSES, OR ANY COMBINATION OF THEM, AND
46 MAY INCLUDE, AS ADJUNCTS IN FERMENTATION, HONEY, FRUIT, FRUIT JUICE, FRUIT
47 CONCENTRATE, HERBS, SPICES AND OTHER FOOD MATERIALS.

1 (b) INCLUDES BEER THAT IS AGED IN AN EMPTY WOODEN BARREL PREVIOUSLY
2 USED TO CONTAIN WINE OR DISTILLED SPIRITS AND AS SUCH IS NOT CONSIDERED A
3 DILUTION OR MIXTURE OF ANY OTHER SPIRITUOUS LIQUOR.

4 ~~14.~~ 15. "Master settlement agreement" has the same meaning
5 prescribed in section 44-7101.

6 ~~15.~~ 16. "Microbrewery" has the same meaning prescribed in section
7 4-101.

8 ~~16.~~ 17. "Nonparticipating manufacturer" has the same meaning
9 prescribed in section 44-7111.

10 ~~17.~~ 18. "Other tobacco products" means tobacco products other than
11 cigarettes and roll-your-own tobacco.

12 ~~18.~~ 19. "Participating manufacturer" has the same meaning
13 prescribed in section 44-7111.

14 ~~19.~~ 20. "Person" means any individual, firm, partnership, joint
15 venture, association, corporation, municipal corporation, estate, trust,
16 club, society or other group or combination acting as a unit, and the
17 plural as well as the singular number.

18 ~~20.~~ 21. "Place of business":
19 (a) Means a building, facility site or location where an order is
20 received or where tobacco products are sold, distributed or transferred.
21 ~~Place of business~~

22 (b) Does not include a vehicle.

23 ~~21.~~ 22. "Retailer" means any person that comes into possession of
24 any luxury subject to the taxes imposed by this chapter for the purpose of
25 selling it for consumption and not for resale.

26 ~~22.~~ 23. "Roll-your-own tobacco" means any tobacco that, because of
27 its appearance, type, packaging or labeling, is suitable for use and
28 likely to be offered to or purchased by consumers as tobacco for making
29 cigarettes. This paragraph shall be interpreted consistently with the
30 term as used in section 44-7101. This paragraph shall be interpreted
31 consistently with the classification guidelines established by the federal
32 alcohol and tobacco tax and trade bureau.

33 ~~23.~~ 24. "Smoking tobacco":
34 (a) Means any tobacco that, because of its appearance, type,
35 packaging, labeling or promotion, is suitable for use and likely to be
36 offered to or purchased by consumers as tobacco for making cigarettes or
37 otherwise consumed by burning. ~~Smoking tobacco~~

38 (b) Includes pipe tobacco and roll-your-own tobacco.

39 ~~24.~~ 25. "Spirituous liquor" ~~means any liquid that contains more~~
40 ~~than one-half of one percent alcohol by volume, that is produced by~~
41 ~~distillation of any fermented substance and that is used or prepared for~~
42 ~~use as a beverage. Spirituous liquor does not include medicines that are~~
43 ~~unsuitable for beverage purposes.~~ HAS THE SAME MEANING PRESCRIBED IN
44 SECTION 4-101.

1 ~~25.~~ 26. "Tobacco product manufacturer" has the same meaning
2 prescribed in section 44-7101.
3 ~~26.~~ 27. "Tobacco products" means all luxuries included in section
4 42-3052, paragraphs 5 through 9.
5 ~~27.~~ 28. "Vehicle" means a device in, on or by which a person or
6 property is or may be transported or drawn on the roads of this state
7 regardless of the means by which it is propelled or whether it runs on a
8 track.
9 ~~28.~~ 29. "Vinous liquor":
10 ~~means any liquid that contains more than one-half of one percent alcohol~~
11 ~~by volume and that is made by the process of fermentation of grapes,~~
12 ~~berries, fruits, vegetables or other substances.~~
13 (a) MEANS THE PRODUCT OBTAINED BY THE FERMENTATION OF GRAPES, OTHER
14 AGRICULTURAL PRODUCTS THAT ~~[CONTAINS]~~ [CONTAIN] NATURAL OR ADDED SUGAR OR
15 CIDER OR ANY SUCH ALCOHOLIC BEVERAGE FORTIFIED WITH GRAPE BRANDY AND THAT
16 CONTAINS NOT MORE THAN TWENTY-FOUR PERCENT OF ALCOHOL BY VOLUME.
17 (b) DOES NOT INCLUDE:
18 ~~(a)~~ (i) Liquids in which hops or grains are used in the process of
19 fermentation.
20 ~~(b)~~ (ii) Liquids made by the process of distillation of hops or
21 grains.
22 ~~(c)~~ (iii) Medicines that are unsuitable for beverage purposes.
23 (iv) CIDER AS DEFINED IN SECTION 4-101.
24 ~~29.~~ 30. "Wholesaler" means a person that sells any spirituous,
25 vinous or malt liquor taxed under this chapter to retail dealers or for
26 the purposes of resale only.
27 Sec. 19. Section 42-3352, Arizona Revised Statutes, is amended to
28 read:
29 42-3352. Reports of distillers and producers
30 A. Every distiller or ~~manufacturer~~ PRODUCER of distilled spirits
31 and vinous and malt liquors that sells any of those products to
32 wholesalers within this state shall maintain in its records a copy of the
33 invoice of the sale, showing in detail:
34 1. The kind of liquor or beverage sold.
35 2. The quantities of each.
36 3. The size of the container and the weight of the contents.
37 4. The alcoholic content if required by section 42-3052.
38 5. The name of the person, firm or corporation to whom sold.
39 B. A distiller or ~~manufacturer~~ PRODUCER shall make the invoices
40 required to be kept pursuant to subsection A of this section available to
41 the department on request.

1 Sec. 20. Section 42-3355, Arizona Revised Statutes, is amended to
2 read:

3 42-3355. Return and payment by farm wineries, producers,
4 direct shipment licensees, microbreweries and
5 craft distillers

6 A. A farm winery selling vinous liquor at retail or to a retail
7 licensee pursuant to title 4, chapter 2 that is ~~manufactured or~~ produced
8 on the premises, a producer of vinous liquor that sells at retail pursuant
9 to section 4-243.02 or a direct shipment licensee that sells pursuant to
10 section 4-203.04 shall pay the tax under this chapter on all such liquor
11 sold at retail or to a retail licensee within this state and add the
12 amount of the tax to the sales price.

13 B. A microbrewery selling malt liquor at retail or to a retail
14 licensee pursuant to title 4, chapter 2 that is ~~manufactured or~~ produced
15 on the premises or a ~~manufacturer~~ PRODUCER of beer that sells at retail
16 pursuant to section 4-243.02 shall pay the tax under this chapter on all
17 malt liquor sold at retail or to a retail licensee within this state and
18 add the amount of the tax to the sales price.

19 C. A craft distiller selling spirituous liquor at retail or to a
20 retail licensee pursuant to title 4, chapter 2 that is ~~manufactured or~~
21 produced on the premises or a distiller of spirituous liquor that sells at
22 retail pursuant to section 4-243.02 shall pay the tax under this chapter
23 on all spirituous liquor sold at retail or to a retail licensee within
24 this state and add the amount of the tax to the sales price.

25 D. The farm winery, ~~manufacturer~~ PRODUCER, microbrewery, craft
26 distiller or direct shipment licensee shall pay the tax to the department
27 annually on or before the twentieth day of the first month of the year
28 succeeding the year in which the tax accrues.

29 E. On or before that date, the farm winery, ~~manufacturer~~ PRODUCER,
30 microbrewery, craft distiller or direct shipment licensee shall prepare a
31 sworn return for the year in which the tax accrues in the form prescribed
32 by the department, showing:

33 1. The amount of liquors or beer sold in this state during the year
34 in which the tax accrues.

35 2. The amount of tax for the period covered by the return.

36 3. Any other information that the department deems necessary for
37 the proper administration of this chapter.

38 F. The farm winery, ~~manufacturer~~ PRODUCER, microbrewery, craft
39 distiller or direct shipment licensee shall deliver the return, together
40 with a remittance of the amount of the tax due, to the department.

41 G. Any taxpayer that fails to pay the tax within ten days after the
42 date on which the payment becomes due is subject to and shall pay a
43 penalty determined under section 42-1125, plus interest at the rate
44 determined pursuant to section 42-1123 from the time the tax was due and
45 payable until paid.

1 H. For reporting periods beginning from and after December 31,
2 2019, or when the department has established an electronic filing program,
3 whichever is later, each taxpayer shall file electronically any report or
4 return required under this chapter. The report or return is considered to
5 be filed and received by the department on the date of the electronic
6 postmark pursuant to section 42-1105.02.

7 <<Sec. 21. Effective date

8 [Sections 4-101, 4-201, 4-203, 4-205.02, 4-205.04, 4-205.08,
9 4-205.10, 4-209, 4-212, 4-214, 4-221, 4-222, 4-223, 4-226, 4-244, 42-3001,
10 42-3352 and 42-3355, Arizona Revised Statutes, as amended by this act, are
11 effective from and after December 31, 2026.]>>

12 Enroll and engross to conform

13 Amend title to conform

JEFF WENINGER

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